CHENNAI - SATURDAY - OCTOBER 3, 2026

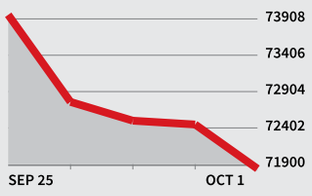
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SENSEX 71909.70 (-1670.84)



IN FOCUS

	Week's close	Week's change
Nifty 50	22421.95	-641.15
P/E Ratio (Sensex)	19.09	-0.44
US Dollar (in ₹)	96.31	+0.35
Gold Std 10 gm (in ₹)	147545.00	-2636
Silver 1 kg (in ₹)	220829.00	-7419

PRECAUTIONARY HOARDING.
Fearing El Nino, Ukraine and Iran wars, African nations ramp up rice stockpiles to secure supplies **p8**



AUTOFOCUS.
Mahindra Thar OG adds refinement, technology and comfort without losing grit **p4**

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QUICKLY.

REGULATORY WOES

Hindalco ends $125 m US alumina deal

Ahmedabad: Hindalco Industries has scrapped its proposed $125 million acquisition of US specialty alumina maker AluChem Companies. The move puts an end to a deal completion timeline which had been repeatedly pushed back amid disruptions to the US foreign-investment review process. **p2**

GOING DEEP

Defence start-ups eye maritime opportunities



Bengaluru: India's defence tech ecosystem is entering a new phase, with the Indian Navy increasingly turning to start-ups for technologies spanning autonomous vessels, underwater surveillance and mine countermeasure systems as maritime security gains strategic importance. The move is also opening opportunities in adjacent areas such as marine navigation, sensing and surveillance for State governments. **p10**

Centre fortifies AI mission with sovereign compute pool

RISING GPU COSTS. Government taps C-DAC and the UAE for AI compute capacity

S Ronendra Singh
New Delhi

The Centre is moving to build a pool of government-controlled artificial intelligence (AI) ecosystem by adding 10,000 GPUs of computing capacity, according to sources.

The government is working with the Centre for Development of Advanced Computing (C-DAC) to install 3,000 GPUs of computing capacity, while also finalising an agreement with the UAE under which an 8-exaflop AI supercomputer, equivalent to about 10,000 GPUs of computing capacity, will be deployed in India.

UAE GOVT GIFT

This is being developed through the Abu Dhabi-based G42 and Cerebras in partnership with C-DAC and the Mohamed bin Zayed University of AI, and will be owned by the Centre as a "UAE government gift", a senior official told *businessline*.

CAPACITY BOOST

- Govt to get compute capacity worth 10,000 GPUs from UAE
- C-DAC is working on an additional 3,000 GPUs
- IndiaAI Mission currently accesses 30,000 GPUs from private players



The official said the government is preparing more bids for additional computing capacity as it seeks to build a government-controlled pool of AI compute, alongside capacity sourced from private providers.

"We are working with C-DAC on 3,000 GPUs worth of capacity to be installed and then we are also working on the other G42 termsheet, which was signed in the presence of the Prime Minister. We are doing the final agreements to get further compute. That will be worth of about 10,000 GPUs worth of compute," the official said.

It will be owned by the Centre because it is a gift from the UAE government, he said. "We will be setting up the data centres... that was the agreement signed between the two governments," the official said.

RISING COSTS

The India AI Mission currently has access to about 30,000 GPUs against commitments of 45,000, with several private providers unable to deliver on their pledged capacity amid rising costs due to a global shortage of GPUs. Asked about the pricing of these GPUs, the official said the government had not decided on them yet.

"We will have to see... We will have to adjust the subsidies according to what the start-ups get. It will take three-four months and then we are going to float bids... It is still in the RFP stage," the official added.

According to analysts, the government has to provide more clarity on the ecosystem it is building, especially if the GPUs are of the latest generation.

"There is currently very little clarity on what specific mix of AI accelerator chips the government plans to install and targeting which cohort and use-cases training/fine-tuning vs inferencing," Neil Shah, Vice-President for Research at Counterpoint Research, told *businessline*.

He said the total budget for the AI Mission is set at ₹10,372 crore over five years, and the key question now is whether the government will increase this budget to keep up with the rising costs and secure advanced chips.

If the government primarily deploys chips that are three-four years old, they will be inefficient in terms of both power and performance, he noted.

GST Council may give probe agencies, police payee data access via NATGRID

Shishir Sinha
New Delhi

The GST Council, at its October 7 meeting, is likely to consider a proposal to allow Central intelligence and investigative agencies, as well as State and Union Territory police forces using NATGRID, to access specified GST payee information, a senior government official told *businessline*.

The National Intelligence Grid (NATGRID) links 11 Central agencies and the police forces of all States and UTs with data-holding agencies, providing information for intelligence and investigations. "NATGRID is used for counter-terrorism and national security, which includes internal and economic security. Specific information through the GST network will aid in risk-based assessment for foreign investment, tax evasion, money laundering, organised cyber frauds and heinous crime," the official said.

Under the proposed mechanism, data will be shared online through application programming interfaces (APIs) on requests from agencies. Five categories of GST data are proposed to be made available: Registration details, including proprietors and date of commencement of business; e-way bill details; inward and outward supplies over a period; branch mapping through PAN for multi-branch companies; and supplies made through e-commerce platforms.

DATA ACCESS

- Proposed APIs would share five tax-payer data categories
- GSTN recommends safeguards against unrestricted database exposure risks
- Statistics Ministry may also seek taxpayer data access separately

SAFEGUARDS

Access is expected to be subject to safeguards. The GST Network has suggested limits on API access to prevent unrestricted access to the entire database, the official said. "Unrestricted API access will expose the entire universe of the major registration, e-way bills and GST registration data and that too in unmasked individually identifiable manners," he said. "Theoretically, this can lead transmission of most of the GST database with NATGRID. Hence, some conditions are expected."

The official said the proposal could be accommodated within GST provisions governing disclosure of taxpayer information.

"Wherever any proceedings have been initiated against any person, information regarding that person can be obtained by law enforcement agencies by coordinating with the concerned jurisdictional officers. This can also be done at the central level by coordinating with the DGGI (Directorate General of GST Intelligence)," the official said. The proposed system will provide a more structured mechanism for sharing disaggregated GST data with agencies using API-based technology, the official said.

Separately, the Council may also consider allowing the Statistics Ministry to access certain tax-payer data.

Any such move would require a review of the statutory framework governing confidentiality and purpose limitation of taxpayer information, the official said.

IT faces dull Q2 on cautious client spend

Sanjana B
Bengaluru

The Indian IT sector is set for another muted quarter, with Q2 FY27 likely to offer little improvement over Q1 despite being the seasonally stronger period, analysts noted. Client decision-making remains cautious, discretionary spending constrained, and deal wins remain soft amid macro uncertainty, interest rates and geopolitical risks.

US WEAKEST STILL

"Geopolitical tensions, the ongoing wars, stress in banking and inflation-led pressure on retail and manufacturing continue to hold back discretionary budgets. The US, which accounts for 55-60 per cent of global tech spending, will remain the weakest market. Europe will see limited growth driven by cost-optimisation deals; the rest of the world, including Asia-Pacific, will grow faster; and West Asia will slow significantly because of the war," UnearthInsight observed in a report.

Brokerages expect 0.5-1 per cent q-o-q revenue growth for the top five firms, with no broad-based revival in budgets.

With a weak H1 and Q3 typically affected by furloughs, the burden on H2 to deliver the FY27 growth recovery is rising.

MUTED QUARTER

Tier-1 companies are likely to see limited growth in Q2. Emkay Research expects tier-1 firms to report -1 per cent to 3.1 per cent q-o-q constant-currency (CC) revenue growth, while tier-2 companies could grow 0.5 per cent to 8 per cent.

Cross-currency headwinds are expected to shave 10-20 bps off reported USD growth for tier-1 and 0-30 bps for tier-2 firms.

BUDGET FREEZE

Discretionary spending stays tight amid geopolitical tensions and inflation pressure

Motilal Oswal Financial Services expects large-cap IT companies to post -0.5 per cent to 3 per cent q-o-q CC growth, while mid-caps could grow 0-12 per cent, supported by large-deal ramp-ups and inorganic contributions. HDFC Securities sees tier-1 growth at -0.4 per cent to 2 per cent q-o-q CC, compared with 0.6 per cent to 6.3 per cent for mid-tier firms, partly aided by acquisitions.

Margins are expected to be largely range-bound in Q2, with performance varying based on wage-hike cycles, seasonality, pricing pressure, AI investments, large-deal transition costs and M&A.

UNDER PRESSURE

AI spending and wage hikes are expected to keep margins under pressure, according to UnearthInsight, with productivity gains increasingly being passed on to clients.

It expects TCS, Infosys and HCLTech to see slight margin improvement, while mid-tier firms could remain constrained by M&A integration costs and continued AI investments, though broadly maintaining current margin levels.

According to brokerages, AI is reshaping enterprise IT spending, with budgets shifting towards native AI platforms, start-ups and AI-embedded enterprise products, putting pressure on traditional services and pricing.

ASIAN GLORY



GIANT KILLERS. The Indian women's hockey team members celebrate after beating China in the final to win the gold medal at the Asian Games in Japan on Friday. India beat the defending champions and Olympic silver medallist 1-0 to win their first gold medal in the competition since the 1982 Asian Games. Lalremsiami scored in the 10th minute and India brilliantly defended the goal, thwarting China's relentless attacks. With this, India qualifies directly for the Los Angeles Olympics R V MOORTHY

Employees of private sector banks a tad more productive than staff of PSBs

Sourashis Banerjee
Chennai

The recent call for a three-day nationwide bank strike over the demand for a five-day work week has brought back the spotlight on bank employee productivity.

A *businessline* analysis shows that the business growth generated by employees of private sector banks was at ₹19 crore per employee for the period between FY19 and FY26. This is slightly higher than the ₹17 crore business added by each public sector bank (PSB) employee.

NARROWING GAP

The productivity gap between private and public banks has, however, narrowed in the FY19-FY26 period. Productivity per employee is derived by dividing the addition to total credit and deposits by the average number of employees in the two time periods — FY10 to FY18 and FY19 to FY26.

Private sector banks saw a sharp increase in business addition in the FY19 to FY26 period of 226 per cent, much higher than the growth of 98 per cent recorded by PSBs.

PSBs, on the other hand, recorded a 5.6 per cent decline in employee count between FY19 and FY26, thus helping productivity. Employee count in private banks almost doubled, growing 98 per cent in this period.

The employee productivity gap was, however, wider in the FY10-FY18 period. The productivity per employee of private banks was then ₹15 crore, while for PSBs it was just ₹9 crore.

According to Vivek Iyer, Partner at Grant Thornton Bharat, "An extra day off is unlikely to move the business added or technology adoption numbers meaningfully. Where it can help is in retention and morale."

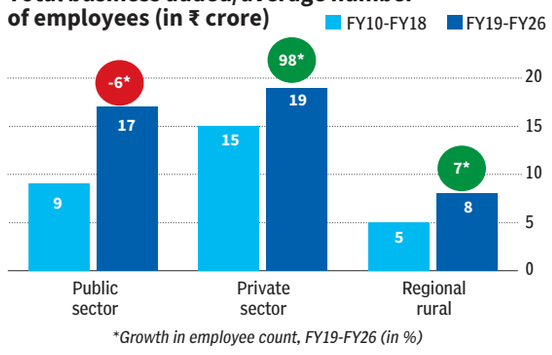
DIGITISATION

A recent working paper from EAC-PM found that the average technical efficiency measure for PSBs rose from 81 per cent in FY19-FY22 to 92 per cent in FY23-FY26. Private banks, however, stood at 85 per cent of average technical efficiency in FY23-FY26, mainly due to taking over weaker banks.

Another banker said digital penetration is still not that high in India, with average daily footfalls reaching lakhs in certain banks. This makes a 5-day week unviable.

Measuring productivity

Total business added/average number of employees (in ₹ crore)



*Growth in employee count, FY19-FY26 (in %)

Source: bl.analysis, EAC-PM working paper author's calculations

From captives to hybrids: GCCs shift to a new growth model in the AI era

Vallari Sanzgiri
Mumbai

Global capability centres (GCCs) are entering a new phase of growth, expanding beyond the standardised model of captive ownership towards a newer hybrid model.

After mimicking the IT sector's mass hiring trend, GCCs are now testing a new ownership model to navigate the AI transformation era.

The first instance of this model was announced on Thursday night by Tata Consultancy Services (TCS). The IT-services provider confirmed a multi-year deal to take over and transform all Indian GCCs of US consumer electronics retailer Best Buy into AI-Native capability centres (AICCs), while retaining the existing headcount.

Commenting on the development, Francis Padamadan, CEO of specialist staffing firm Xpheno, said the growing popularity of the acquisition-led ownership model is a positive sign for the IT-services sector.

SERVICES COHORT

"Large players in the services cohort, already pivoting towards GCC-focused verticals and capability-aligned service models, stand to benefit from the growing acceptance of this new model. The AI wave and the current phase of rapid mainstream evolution are a shot in the arm for those grappling with the limitations of the traditional man-hour-based services model," said Padamadan.

Further, this AI-led push towards centres of intelligence, innovation and global capability gives India a strategic edge, according to Rishi Das, Co-Founder and CEO of IndiQube.

Enterprises are increasingly adopting a core-plus-flex strategy, whereby companies expand into managed workspaces across micro-markets and cities to access talent pools and accommodate project-based growth.

THE CHALLENGE

This is an important trend for India, where talent is increasingly distributed. The challenge, however, is to create a connected network of workplaces that enables people to collaborate, innovate and work with flexibility.

However, Ramkumar Ramamoorthy, Partner at Catalincs and former CMD of Cognizant India, warned that such a development is not necessarily a positive sign for GCCs that were incubated to "change the business" rather than merely "run the business" in the pre-Covid era.

TECHNOLOGY SHIFTS

"These new-age GCCs, which focus on AI-driven innovation, need a different breed of practitioners, leaders and advisors, namely those who have navigated multiple technology shifts and built innovative businesses from the ground up, rather than those relying on a lift-and-shift approach centred on headcount-driven growth," he said.

Rather than signalling a dismissal of the captive GCC format, the emergence of a hybrid model highlights a broader shift towards flexibility in how and where companies access talent, experts said.

With inputs from Sindhu Hariharan in Chennai and Sanjana B in Bengaluru

CHENNAI
businessline.
SATURDAY - OCTOBER 3 - 2026

QUICKLY.

Suzuki asks suppliers in India to cut production



New Delhi: Suzuki Motor has asked suppliers in India to halt production for one day a week for machine maintenance, as the Japanese vehicle maker aims to prevent unscheduled stoppages and maintain quality ahead of ramping up output, two people said. The company has issued such a directive to its Indian suppliers for the first time, the people said. This comes as Maruti Suzuki prepares to boost its annual production to 4 million cars by 2030. REUTERS

Advent seeks CCI nod to buy Yatharth Hosp stake



New Delhi: Private equity giant Advent International has approached the fair trade regulator CCI, seeking approval to acquire a 24.9 per cent stake in multi-speciality healthcare provider Yatharth Hospitals. The acquisition is being done through its Cyprus-based investment fund Rasmalai Ltd. The primary objective behind the transaction is to expand its footprint in India's healthcare sector. Yatharth Hospital aims to use the capital to fund its growth strategies and strengthen its network across the country. PTI

Electric two-wheeler registrations hit nine-month high in September

WINNERS, LOSERS. TVS Motor maintains lead with 4.11 lakh registrations so far this year; Ola's sales fall again

Amit Vijay Mohile
Mumbai

TVS Motor held off a fast-closing Bajaj Auto in September as electric two-wheeler (E2W) registrations across 30 manufacturers jumped 12.5 per cent month-on-month to a nine-month high of 2.06 lakh. This took the total registrations so far this year past 15 lakh, a nearly 69 per cent jump from the corresponding period last year.

Registrations reached 15,51,355 during January-September 2026 against 9,18,934 in the year-ago period. But underneath that expansion lies a series of close contests that's reshaping the leaderboard.

TVS remained the largest individual manufacturer with over 4.11 lakh registrations during the period. Hero MotoCorp and Ather Energy, in which Hero is the largest shareholder with nearly one-third stake, together saw registrations of over 4.33 lakh vehicles.

In September too, Ather's 30,477 registrations and Hero's 24,306 surpassed TVS's 53,990 by nearly 800 vehicles.

HERO GAINS ON ATHER

Ather remains substantially ahead of Hero, seeing registrations of over 2.61 lakh vehicles during January-September against Hero's 1,72,529; a lead of 51.5 per cent.

But their monthly race has tightened. Ather was 65 per cent ahead of Hero in March; by September, that advantage has fallen to 25.4 per cent. Hero's September registrations surged 27 per cent month-on-month, while Ather grew 4.8 per cent.

Ola, meanwhile, is facing pressure from the other direction. Its registrations fell 3.5 per cent to 13,449 units in September, the third consecutive monthly decline from 16,295 in June. Greaves Electric Mobility, on the other hand, grew its sales 8 per cent to 9,316 units.

BAJAJ CLOSES IN

Bajaj Auto has been mounting the closest direct challenge to TVS. Its September registrations jumped 17 per cent to 48,383 units from 41,339 in August, while TVS' grew 9.5 per cent. That cut the latter's monthly advantage to 5,607 vehicles from 7,947 a month ago.

Over the January-September period, TVS' total registrations were 16.2 per cent ahead of Bajaj's 3.54 lakh.

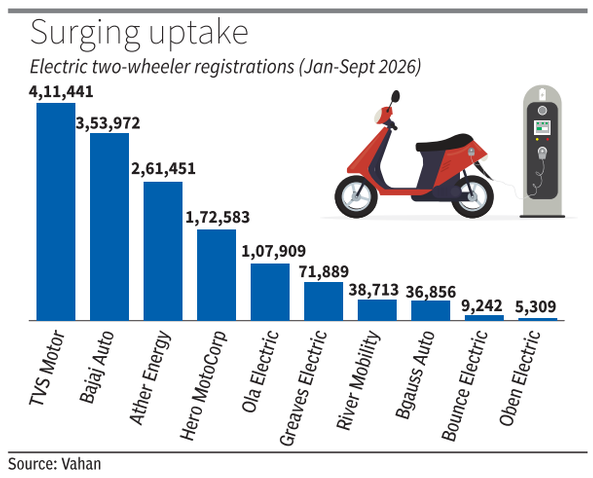
"The electric two-wheeler market is moving beyond early adopters, with distribution, financing, service reach and customer confidence becoming increasingly important as volumes scale," said Vinkesh Gulati, former President of FADA and the Chairman of Automobile Skill Development Council.

START-UP CONTEST

Another close race is developing between Bengaluru-based River Mobility and Mumbai-headquartered BGauss Auto. While River saw registrations of 5,549 vehicles in September, BGauss clocked 5,023 units.

River also remained ahead during the January-September period with a total of 38,713 registrations against BGauss's 35,168, a gap of 10.1 per cent. Both the companies, however, have nearly doubled their monthly scale since the start of the year. Their combined registrations increased from 5,394 in January to 10,572 in September. "The opportunity is much larger," said Hemant Kabra, Founder and Managing Director of BGauss.

Further down, September produced sharp breakouts. Bounce's registrations nearly tripled month-on-month to 3,069 from 1,049, while Oben Electric saw them doubling to 1,417.



Source: Vahan

Capacity remains far ahead of demand for most e-bike firms

Amit Vijay Mohile
Mumbai

More than ₹3,500 crore of investment, roughly 4 lakh units of annual manufacturing capacity and hundreds of retail touchpoints are riding on an Indian electric motorcycle market, where the four manufacturers collectively registered fewer than 24,000 vehicles during January-September.

The money has come from a diverse set of heavyweight backers. Ultraviolette has attracted more than ₹1,500 crore, with investors including TVS Motor, Qualcomm Ventures, Zoho Corporation, Exor and TDK Ventures.

Matter has raised around ₹1,000 crore from the likes of Capital 2B, Helena Special Investments and overseas funds.

Despite strong investor backing, Ahmedabad-based Matter registered just 751 motorcycles during the period.

Roughly ₹650-800 crore has been invested in Revolt while Oben has raised about ₹300-320 crore from venture, angel and debt investors.

But combined registrations for the four manufacturers rose from 2,020 units in January to 3,681 units in September, an increase of 82.2 per cent. Even at September's pace, annual sales would be about 44,000 motorcycles, well below the sector's installed capacity.

SEPTEMBER STIR

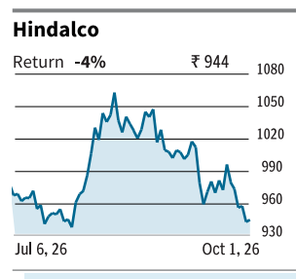
"Becoming India's No 1 electric motorcycle brand is a significant milestone for Oben," said Madhumita Agrawal, Founder and CEO.

Oben now has more than 150 showrooms and service centres across over 90 cities in 18 States. Revolt operates more than 200 dealerships, while Ultraviolette has adopted a smaller, premium experience-centre model.

Electric motorcycles still account for only a small share of India's vast two-wheeler market. But the stakes are rising. "India is the world's largest motorcycle market, and the transition to electric mobility cannot truly reach scale without electric motorcycles playing a central role," said Agrawal. While the segment remains nascent, she sees considerable potential, as lower running costs and sporty form factors attract buyers.

Regulatory delay prompts Hindalco to terminate $125 m US alumina deal

Our Bureau
Ahmedabad



Hindalco Industries has scrapped its proposed $125 million (about ₹1,200 crore) acquisition of US specialty alumina maker AluChem Companies.

The development, which comes after the company spent over a year awaiting regulatory clearance, puts an end to a deal whose completion timeline had been repeatedly pushed back amid disruptions to the US foreign-investment review process.

The termination, Hindalco said, does not alter its broader strategy of expanding its high-value, technology-led value-added products (VAP) business in specialty alumina. It will continue to evaluate opportunities, including in the US, in line with that strategy, the company added.

DELAY IN REVIEW

The Aditya Birla Group company had announced the acquisition in June 2025, with an estimated completion period of two to four months. As per the deal, Hindalco had agreed to acquire 100 per cent of AluChem for an enterprise value of $125 million in a cash transaction.

The proposed deal was intended to expand the company's global footprint in specialty alumina and alumina products, particularly in the US. AluChem manufactures specialty calcined and tabular alumina, products used across the specialty alumina value chain. But the transaction remained pending as the Committee on Foreign Investment in the United States' (CFIUS) review was repeatedly extended.

NO TIME TO REVIEW

Hindalco's review was repeatedly delayed owing to the partial shutdowns of the US federal government, which paused the statutory clock for CFIUS reviews

Hindalco's review was repeatedly delayed owing to the partial shutdowns of the US federal government, which paused the statutory clock for CFIUS reviews. After the first shutdown ended on November 12, 2025, Hindalco said the 43-day shutdown period will be added to the 105-day review timeline.

A second three-day shutdown added further time. By February 2026, the company said the review remained temporarily halted because of another partial shutdown. Hindalco subsequently extended the expected completion timeline to July 2, 2026, and later said the matter was expected to reach finality by September 2, subject to final clearance.

The transaction, however, remained unresolved into October.

Maharashtra is India's launchpad for economic growth: Pranav Adani



INVESTING IN MAHARASHTRA. Maharashtra Chief Minister Devendra Fadnavis (right) with Pranav Adani, Director of Adani Enterprises, in Mumbai on Friday ANI

Our Bureau
Ahmedabad

Describing Maharashtra as India's "launchpad" for economic growth, Pranav Adani, Director of Adani Enterprises, said projects worth ₹2.6 lakh crore are already completed or under execution. This makes up over 43 per cent of the group's over ₹6 lakh crore investment blueprint for the State.

The investment blueprint spans sectors including energy, aviation and aero-districts, urban regeneration, data centres and coal gasification, Adani said at the launch of Invest Maharashtra in Mumbai on Friday.

'WHERE MONEY MOVES'

The scale of the commitment comes as Maharashtra targets becoming a $1 trillion economy by 2030, with the Mumbai Metropolitan Region expected to play a central role in that expansion. Describing Maharashtra as a key driver of India's economic growth, Adani said, "If India is the rocket, Maharashtra is the launchpad. And if Maharashtra is the launchpad, then Mumbai is its financial fuel! It is where the money moves."

AIRPORT INFRA

The group has been managing and upgrading the Chhatrapati Shivaji Maharaj International Airport in Mumbai, while its greenfield Navi Mumbai International Airport is being developed as a second aviation gateway for the Mumbai Metropolitan Region.

The Navi Mumbai airport is designed to handle more than 90 million passengers annually, he said. The group, he added, is also developing an integrated airport business and hospitality districts around the two airports.

Adani Electricity Mumbai Ltd supplies electricity to more than three million homes and establishments, according to Adani. More than 60 per cent of its power supply is sourced from renewable energy and the group is also developing a 1,000 MW high-voltage direct-current transmission link to bring power into Mumbai, he said. This, besides the pumped-storage hydro projects coming up in Maharashtra.

Another component of the group's plans for the State is the Dharavi Redevelopment Project. The project, said Adani, is intended to create modern housing before relocation and formalise and safeguard micro-enterprises.

Impact of deficit rainfall on rural demand a key concern for FMCGs

Meenakshi Verma Ambwani
New Delhi

The 13 per cent deficit in overall rainfall in the recently ended monsoon could weigh on rural income and consumption in the coming months with a lag effect.

While rural demand in the second quarter has been steady, FMCG players and analysts said the impact of a below-normal monsoon may lead to cautious spending on discretionary categories, especially post the festival period.

UNEVEN DEMAND

Analysts also pointed out that rural demand is expected to be uneven due to regional disparities in rainfall shortfalls.

This comes at a time when inflationary pressures due to impact of the West Asia crisis have already been a key concern.

"Our ground checks suggest that companies have witnessed a steady rural demand in Q2 in staples and essential products," said Ajay Thakur, Research Analyst, Anand Rathi Institutional Equities.

"However, some softness has been witnessed for discretionary categories in rural regions. Overall, the impact on rural demand due to monsoon deficiency is expected to be more clear and visible in the coming months."

"Demand trends during Q2 FY27 have been strong and we expect to see continued momentum during the festival months in both rural and urban regions," said Mayank Shah, Chief Marketing Officer at Parle Products. "As far as food and essentials categories are concerned, we do not anticipate any impact due to the deficient rainfall. The impact is expected to be seen in the discretionary segment."

CAUTIOUS SPENDING

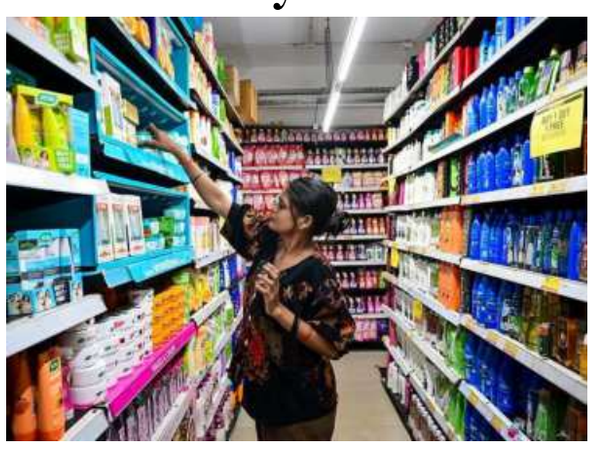
A weak monsoon also has a direct impact on agri productivity. Lower farm input often translates into reduced household incomes. Nearly 313 districts experienced deficient or large-deficient rainfall.

Chirag Jain, Partner and Agriculture and Allied Sector Leader, Grant Thornton Bharat, said, "Looking ahead, the rural demand is expected to remain uneven across regions. Southern and eastern and other rain-fed districts that experienced significant rainfall deficits may witness weaker consumption growth during the next three to six months. However, the ultimate trajectory will depend on the performance of the upcoming rabi season."

He noted that the impact on rural demand generally emerges through a moderation in discretionary spending as rural households tend to prioritise essential consumption in discretionary spending as rural households tend to prioritise essential consumption such as food, healthcare and education.

"The near-term environment points towards cautious consumer spending, especially on discretionary items, while essential consumption is expected to remain stable," he said. "A strong rabi crop could significantly improve rural income prospects and support a recovery in demand during the second half of the fiscal year."

Stating that rural demand will need to be monitored closely over the coming months, Jyotiroop Barua, Business Head, Confectionery, DS Group, said affordability and accessibility will remain important drivers of consumption.



THE SIGNS. Experts say the impact on rural demand generally emerges through a moderation in discretionary spending as rural households tend to prioritise essential consumption PTI

Shriram Properties turns to robots as labour shortage bites

Other players, too, are considering the technology; rising material costs stir the pot

T E Raja Simhan
Chennai

Shriram Properties is turning to robots, developed by Indian start-ups, to tackle an acute shortage of construction labour. The availability of the workforce has been "practically zero" in some parts of Tamil Nadu and North India, said the company.

The Bengaluru-based real-estate developer has now put robots to work, for jobs like painting. It is even exploring robotic solutions for something like tiling, as the company looks to increase construction and sales volumes. The move is aimed at reducing its dependence on manual labour while improving the speed of construction and the finish quality.

VIABLE ECONOMICS

"While we are using robots in a small way, there are a lot of start-ups coming with great technologies to help in reducing dependence on skilled labour while improving construction timelines and finish quality," said Murali Malayappan, CMD, Shriram Properties. The company has a pipeline of 41 projects with an aggregate development potential of around 34 million sq ft (msf), including 16 msf of ongoing projects.

Automation could become important as the company scales up, said Malayappan. Although robots require higher upfront capital expenditure, the economics become more viable when the equipment is deployed across multiple projects and the investment is recovered over a longer period.

This could give larger developers an advantage over smaller players, who may find it difficult to absorb the initial cost of equipment.



INCREASING AUTOMATION. Stakeholders say demand for robots is rising, especially for plastering work BLOOMBERG

HIGHER COSTS

The push towards automation also comes against the backdrop of rising construction costs. Shriram Properties estimates an 8-10 per cent rise in construction costs, particularly following the conflict in West Asia. While prices of steel and cement have remained relatively controlled, costs of lifts, chrome-plated fittings, sanitary fittings and tiles have increased, said Malayappan.

The labour shortage is prompting other developers to look at technology-led alternatives as well. Officials at large and small real-estate companies said they were yet to deploy construction robots, but worsening labour availability could force them to consider automation.

WHO'S MAKING THEM

Start-ups are trying to fill this gap. Dhinesh Babu, Founder and CEO of Chennai-based robotics start-up Vividobots, said the demand was particularly emerging for robots to be used in plastering, both for interiors and exteriors.

"Some of the large real estate developers are ready to deploy the robots," he said. The company claims its technology could reduce labour requirements by 60-70 per cent compared with traditional methods, while the cost could be around 30-50 per cent, depending on the project.

The company's robots are currently in the pilot phase, he added.

Industry bodies are also beginning to explore the technology. The Credai Chennai Youth Wing is planning a visit to China later this year to study construction robotisation.

Mahindra Group, Embraer to invest ₹6,000 crore in Nagpur

Aneesh Phadnis
Mumbai

Embraer and the Mahindra Group plan to invest ₹6,000 crore in a C-390 Millennium aircraft final assembly line in Nagpur, if selected to supply medium transport aircraft to the Indian Air Force (IAF). The two groups signed an MoU with the Maharashtra government on Thursday in this regard.

The development will result in the creation of 1,000 jobs, Devendra Fadnavis, Chief Minister, said in an X post.

REPLACING FLEET

The IAF is looking for a medium transport aircraft to replace its ageing fleet of AN-32 and IL-76 aircraft.

In August, the Defence Ministry issued a request for proposal to Indian conglomerates, including Tatas, Mahindra, Adani and State-run Hindustan Aeronautics Ltd, to submit their technical and financial offers.

While Embraer has teamed up with the Mahindra group, Lockheed Martin joined hands with the Tatas to offer its C-130J aircraft.

"Mahindra is committed to building a globally competitive aerospace ecosystem in India and to creating meaningful manufacturing and technology capabilities that contribute to the country's Atmanirbhar Bharat ambitions," said Vinod Sahay, Member of the Group Executive Board, Mahindra Group.

STATE-OF-THE-ART

The proposed Nagpur facility will be state-of-the-art and a critical part of Embraer's broader industrialisation strategy in India, bringing the knowhow on aircraft assembly, system integration, manufacturing engineering, and local supply chain development, said a release.

Embraer and Mahindra entered into a strategic cooperation agreement in late 2025 to advance the C-390 Millennium for the IAF's MTA programme, building on their earlier MoU signed in February 2024.

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QUICKLY.

Sanjay Kumar to take over as Petronet LNG MD & CEO



New Delhi: Sanjay Kumar, Director (Marketing) at state-run GAIL India, will take over as the Managing Director and CEO of India's largest LNG importer Petronet LNG from May 13, 2027. The detailed disclosure will be sent to the stock exchanges once Kumar assumes the charge as Managing Director & CEO, it added. Kumar will replace Akshay Kumar Singh, who retires on May 12 next year. OUR BUREAU

Sidharatha Mishra to head ICICI Life Insurance

Mumbai: ICICI Life Insurance's board has appointed Sidharatha Mishra as an Additional Director and MD & CEO for five years. He currently heads the digital channels & partnerships, voice channel, customer service, NRI & IFIG groups of ICICI Bank Ltd. Mishra's appointment is with effect from October 14, 2026, or the date of approval of IRDAI, the insurer said in a regulatory filing. OUR BUREAU

RBI promotes Malli as Executive Director

Mumbai: The Reserve Bank of India has elevated Sudhakar Malli as Executive Director with effect from October 1, 2026. Prior to this, Malli was serving as Chief General Manager-in-Charge of the Department of Supervision. OUR BUREAU

RBI may hike repo rate by 25 bps: SBI Research

POLICY SHIFT. Economists expect MPC to upgrade GDP, inflation outlook for FY27

Our Bureau
Mumbai

KEY FACTORS

- Economists reasoned that a combination of broadening inflationary pressures, worsening global macros, evolving liquidity conditions and a renewed global repricing of risks is making the case for pre-emptive action stronger



The RBI's Monetary Policy Committee is set to begin the rate hike cycle by pre-emptively raising the policy repo rate by at least 25 basis points in its upcoming meeting (October 5 to 7) even as the exchange rate needs immediate protective guardrails to thwart speculation, according to the State Bank of India's Economic Research Department (ERD).

The ERD's economists believe the balance of risks has tilted decisively towards a 25-bps rate hike (from 5.25 per cent to 5.50 per cent) at this juncture. They also expect RBI to upgrade the GDP forecasts by 30 bps (from 6.7 per cent to 7 per cent) and inflation forecast by 20 bps (from 5 per cent to 5.2 per cent) for FY27.

GLOBAL HEADWINDS

They reasoned that a combination of broadening inflationary pressures, worsening global macros, evolving liquidity conditions and a renewed global repricing of risks is making the case for pre-emptive action stronger.

"Firstly, the global environment argues against waiting... South Korea and the Philippines raised rates in August, followed by the US, Japan, euro area and New Zealand in September, amid renewed inflationary risks. With geopolitical tensions, crude-price risks and global repricing of risks, it would be prudent for us to rather act pre-emptively than being behind the curve.

"Secondly, inflation is becoming increasingly broad-based... CPI inflation rose to 4.82 per cent in August 2026 from 4.45 per cent in July 2026, while our analysis shows a clear generalisation of price pressures with a possibility of pass through in future," said Soumya Kanti Ghosh, Group Chief Economic Advisor, State Bank of India. While India need not press the panic button as of now, policy makers and regulators would do well to brace for an eventuality where evolving macros force resorting to some unconventional rate measures to safeguard broader interest, he added.

WEAK RUPEE

The ERD economists said the rupee is caught in a downward spiral as signified by rapid decline and strengthening of the dollar index, in part driven by higher demand from oil marketing companies and select corporates, heavy demand from a bevy of foreign banks and constant pressure from FPI selling since last Friday ($4.45 billion).

"As it slouches towards the figure level of 97, the conviction in RBI's ability to meaningfully intervene and thwart speculative forces would be litmus test of its, and nation's, innate strength. Bond yields are also likely to move much higher," they said.

MONSOON STORY

The ERD economists underscored that even as rate hike looks imminent, the monsoon story deserves attention.

They said the 2026 monsoon was the fourth driest since 2000, at just 87 per cent of LPA (long period average), with 43 per cent of districts receiving deficient rainfall. Punjab and Bihar received 41 per cent and 32 per cent below-normal rainfall, respectively, while Maharashtra had declared drought across 265 talukas.

"With low irrigation coverage for crops such as soybean, tur, jowar and bajra, rainfall dependence remains high... strong El Niño conditions and below-normal October rainfall could pose further risks to rabi output," the Economists said.

The SBI economists said that liquidity is high in headline terms, but effective liquidity creation is much lower under the hood.

They observed that despite record $143.5 billion forex inflows under the special swap facility, regulatory requirements (cash reserve ratio/statutory liquidity ratio/ liquidity coverage ratio) constrain the deployment of incremental deposits.

"We estimate that to support an estimated 16 per cent credit growth for FY27 / loans create deposits, there will still be a gap of ₹8.2 lakh crore in deposit creation by banks because of regulatory dispensation, UPI & Sparsh (a cash management initiative for centrally-sponsored schemes) requirements. Hence, going forward system liquidity will automatically adjust and there is no need for additional manoeuvring," they said.

The economists believe that an estimated ₹4 lakh crore of additional cash is floating in the system on account of RBI regulation in April 2025 that has mandated 90 per cent of all ATMs will dispense notes of smaller denomination like ₹100/200.

India does not have structural excess manufacturing capacity: Goyal at G20

Press Trust of India
New Delhi/Washington



FOSTERING TIES. Commerce and Industry Minister Piyush Goyal with France's Foreign Trade and Economic Attractiveness Minister Delegate Nicolas Forissier at the G20 Trade Ministers' Meeting in Milwaukee, Wisconsin ANI

Commerce and Industry Minister Piyush Goyal said India does not have structural excess manufacturing capacity in the sectors identified by the G20 Presidency, asserting that the country's manufacturing capacity serves both domestic and global needs. The US holds the G20 Presidency in 2026.

He also said industrial capacity in itself is not the issue; however, distortions could arise where geographical concentration of production is driven by hidden subsidies and support.

The Minister added that diversification of production and supply chains is a legitimate objective, but it cannot be used as a pretext for measures outside WTO (World Trade Organization) rules or shifting the burden of adjustment onto developing countries, which must retain policy space to industrialise.

"India's manufacturing capacity serves its domestic and global needs and that, in the sectors identified by the G20 Presidency, India does not have structural excess capacity," Commerce Minister said.

INDIA'S CONCERN

India shares the concern of several G20 members that trade-distorting support in some countries leads to dumping and predatory pricing, and it addresses such practices through evidence-based WTO measures, including anti-dumping and countervailing duties, he added.

Goyal participated in the concluding day of the G20 Trade Ministers' Meeting in Milwaukee, Wisconsin, and spoke in sessions on structural excess capacity and production, updating the Most-Favoured-Nation principle, ending forced labour in global supply chains, and the closing session.

Speaking on ending forced labour in global supply chains, Goyal said India's commitment to forced labour elimination is absolute and unconditional.

Measures at the border must be based on specific and verifiable evidence rather than presumptions about entire countries, regions or sectors, and must respect due process and WTO rules, he added.

The International Labour Organization (ILO) is the competent, universal and tripartite body for labour standards, he said.

MFN PRINCIPLE

On updating the Most-Favoured-Nation principle, the minister said India's trade with G20 members depends on a transparent, non-discriminatory and rules-based trading system.

He emphasised that consensus remains central to the WTO and that special and differential treatment must be preserved to enable developing countries to catch up with developed economies.

Goyal also called for restoration of the two-tier dispute settlement system.

He also met his counterparts from France, Canada, Saudi Arabia and South Korea and discussed bilateral trade relations with the respective countries.

Govt extends RELIEF scheme to shield exporters from West Asia disruption

Our Bureau
New Delhi



The latest extension is aimed at helping exporters maintain shipments despite heightened uncertainty over maritime routes

The government has extended the operational timelines of a key component of its RELIEF scheme to provide insurance protection to exporters facing elevated freight, insurance and war-related risks amid continuing disruptions in the West Asia maritime corridor.

The Department of Commerce, through a September 30 notification, extended Component II of RELIEF (Resilience & Logistics Intervention for Export Facilitation), a time-bound intervention under the Export Promotion Mission. The extension comes as geopolitical disruptions continue to affect logistics across the Gulf and adjoining regions.

Under the component, exporters shipping to specified regions can obtain Export Credit Guarantee Corporation of India (ECGC) cover with 95 per cent risk coverage for upcoming consignments. The facility applies to Stand Alone Policies as well as Whole Turnover Policies obtained on or after March 16, 2026.

The cover extends to full-container-load, less-than-container-load and reefer-container cargo, although energy shipments are excluded. Importantly, the scheme also provides that the premium paid by eligible exporters will not rise beyond the pre-disruption level during the covered period.

The RELIEF scheme was launched on March 19 against the backdrop of a sharp increase in freight costs, insurance premiums and war-related risks following disruptions along the Gulf and wider West Asian maritime corridor.

The latest extension is aimed at helping exporters maintain shipments despite heightened uncertainty over maritime routes and logistics costs, and comes as continuing geopolitical tensions in West Asia threaten to add to the cost and risk of India's external trade.

No supply restrictions on dealers: Nayara Energy

Rishi Ranjan Kala
New Delhi

Nayara Energy, which accounts for roughly 7 per cent of India's petrol pump network, said that no supply restrictions have been placed by its dealers.

The Rosneft-backed private sector oil marketing company (OMC) assured that it is maintaining adequate stocks at its more than 7,100 retail outlets.

"No supply restrictions have been imposed on our dealers across our retail network. We remain committed to serving the Indian market and meeting the demand for fuel across the length and breadth of the country," the company, which owns and operates the 20 million tonnes per annum Vadinar refinery, told *businessline*.

Nayara Energy continues to maintain fuel availability across its nationwide retail network and is taking appropriate measures to ensure seamless access for customers in line with the current demand patterns, it added.

"As the country's largest private sector fuel retailer, our only priority is to ensure optimum supplies to over 7,000 stations and other channels, including bulk customers," the company assured customers.

Nayara's response comes after Petroleum Secretary Neeraj Mittal said on Thursday that OMCs were not allowed to cap fuel sales.

"Nobody is allowed to put a cap on sales, so if they are putting a cap on sale, we will take it up. We will tell them that it is not acceptable, it is not done. In the past also, letters have been issued. So the same thing applies even today. There is no change in the government's view on this," Mittal said.

G7 nations agree to release 100 million barrels of oil

PTI/Reuters
Washington

The Group of Seven industrial nations said they agreed to release 100 million barrels of oil, starting with "substantial" amounts of diesel after the fuel recently hit record high prices in the US, where President Donald Trump said diesel release would happen "immediately."

Trump and his Republican Party face pressure to address surging prices ahead of November's midterm elections. Trump announced the action on Friday on social media, saying, "Europe has just agreed to release a massive amount of their heavily stocked diesel oil. The process will begin immediately."

The President faces lagging approval ratings as the Iran war and his trade battles have increased US prices for oil and other goods.

Gas prices in the US and abroad have soared during the eight-month-long war, a cost Trump has repeatedly said is worth it for making sure Iran does not obtain nuclear weapons. Trump has insisted prices will come down after the war, though there's no end in sight.

The national average for a gallon of diesel in the US was $6.37 on Friday, according to AAA, after hitting a record $6.52 on September 22.

Trump had a conversation overnight with French President Emmanuel Macron, the chair of the G7, about the need to address rising fuel prices and the availability of petroleum products, according to the French Embassy in the US. Macron on Friday then chaired a video conference of G7 leaders to discuss the issue. The International Energy Agency (IEA) will coordinate the effort to combat soaring fuel prices. "We will implement our commitments with a coordinated release through the IEA of 100 million barrels to begin immediately over 4 months, including a frontloaded substantial diesel release within the first 20 days by G7 members and partners," the statement said.

CRUDE PRICES DOWN

Crude oil prices fell more than 2 per cent and European gas oil futures dropped 5 per cent on Friday after reports of talks on additional diesel and crude stock releases, easing concerns over tight energy supplies.

Brent fell $2.57, or 2.51 per cent, to $99.74 a barrel at 10.35 GMT. West Texas Intermediate dropped $3.53, or 3.8 per cent, to $89.34 a barrel.

Mumbai international airport plans to discontinue 265 flights from Oct 26

Aneesh Phadnis
Mumbai

Airlines are resisting the plan, calling it forced relocation and have sought the Civil Aviation Ministry's intervention

IndiGo and Air India may have to reduce around 100 international departures per week from Mumbai from October 26 as a part of the airport operator's plan to redevelop terminal 1 and push traffic to Navi Mumbai.

Overall 265 weekly flights (one-third of the total) could be affected as Mumbai International Airport Ltd (MIAL) plans to temporarily discontinue slots. The airport operator informed 46 airlines about the planned reduction in slots on Thursday, listing exactly the number of flights each airlines would lose.

Airlines have been asked to inform the airport by October 6 the specific departure slots they can surrender.

'FORCED RELOCATION'

Airlines, however, are resisting the plan, calling it forced relocation and have sought Civil Aviation Ministry's intervention.

As per the list circulated by the airport, there are 770 weekly international departure slots at Mumbai's terminal 2. IndiGo has highest number of slots (224), followed by Air India (100) and Akasa Air (32).

As per MIAL's proposal, 74 slots of IndiGo and 33 slots of Air India would be temporarily discontinued if the proposal goes through. Akasa Air stands to lose 11 weekly slots.

Similarly, among foreign carriers, Emirates and Etihad have highest number of departures each, followed by British Airways. While Emirates flies 35 times a week, Etihad and British Airways operate 28 and 21 flights, respectively. As per the MIAL proposal, 10 slots each of Emirates and Etihad would be temporarily discontinued while seven slots of British Airways would get reduced.

SHIFT TO NAVI MUMBAI

MIAL has said airlines can shift flights to Navi Mumbai until terminal 1 of Mumbai is rebuilt by FY 2030.

The International Air Transport Association has said airlines plan schedules months in advance and any significant changes must be communicated sufficiently early to avoid disruption. The airline body also called for consultation before any cut in schedules.

On its part, MIAL, in its October 1 letter, said airlines were called for a stakeholder meeting on September 16. "A number of airline partners chose not to participate in the meeting. MIAL, nevertheless, remains committed to continued stakeholder engagement and reiterates that the development programme and implementation timelines remain unchanged," it said.

The Mumbai airport will undertake phased redevelopment of its terminal 1 starting January 2027. As a consequence, one third of domestic flights from T1 are planned to be shifted to T2 from October 26.

India revives E100 push with Toyota Innova launch in October as feedstock concerns grow

Amit Vijay Mohile
Mumbai



GREEN DRIVE. The expected launch of the Toyota Innova E100 brings higher ethanol blends back into the mainstream passenger-vehicle conversation

India is preparing to significantly expand its ethanol programme, even as producers grapple with a critical question: Where will the additional feedstock come from?

The government's renewed push for E100 gained momentum after Union Road Transport and Highways Minister Nitin Gadkari said a Toyota Innova capable of running on 100 per cent ethanol is expected to be launched this month.

These developments bring both the demand and supply sides of India's ethanol strategy into sharper focus. While the rollout of E20 created a large, assured market by blending ethanol with petrol, a transition toward E85 and E100 would require substantially higher ethanol availability, alongside a broader fleet of vehicles capable of running on higher ethanol blends.

The supply challenge dominated discussions at Tefla's Bharat Ethanol Forum 2026 and Maize Markets Summit & Expo 2026 in Mumbai, where industry participants stressed the need to diversify ethanol feedstock beyond sugarcane as production capacity expands.

Maize and rice are increasingly emerging as alternative feedstocks, but productivity remains a key constraint.

Speakers said that India's maize yield averages about 3-4 tonnes per hectare, compared with 11-12 tonnes in the US, highlighting the need for improved seeds, better farming practices, greater mechanisation and higher investment in farm research.

Rajasthan Governor Haribhau Bagde said ethanol can be produced not only from cane juice and molasses but also from maize and agricultural residues.

He argued that expanding ethanol production would help reduce India's dependence on imported crude oil and cushion the economy from geopolitical disruptions and volatility in global energy markets.

INNOVA E100

Against this backdrop, the expected launch of the Innova E100 brings higher ethanol blends back into the mainstream passenger-vehicle conversation.

The development coincides with a white paper by the All India Distillers' Association (AIDA) and IIT Delhi, *Flex-Fuel Vehicles: Enabling Energy Security and Sustainable Mobility in India*, which outlines a 10-point roadmap for accelerating flex-fuel vehicle adoption and gradually moving from E20 toward E85 and E100. Higher ethanol blends require more than simply dispensing a different fuel.

The paper recommends ethanol-compatible components such as FKM (Viton) and PTFE seals, adaptive engine-control-unit calibration, corrosion-resistant materials, and higher-flow fuel injectors to ensure reliable vehicle performance.

Consumer economics may ultimately be the deciding factor. Ethanol has a lower energy density than petrol, meaning pump prices alone do not determine the real cost of driving.

The AIDA-IIT Delhi paper therefore advocates evaluating fuels on a cost-per-kilometre basis and cites an E85 retail price roughly 25 per cent below petrol as an illustrative level at which motorists could achieve parity in running costs.

Policymakers are linking ethanol to efforts to improve urban air quality. Maharashtra Cooperation Minister Babasaheb Patil cited rising pollution levels in cities such as Delhi and Mumbai while advocating greater use of ethanol and other alternative-fuel vehicles.

The Innova E100 will put one side of that equation, a passenger vehicle capable of running entirely on ethanol, firmly in the spotlight. Whether E85 and E100 can scale beyond a handful of models, however, will depend on the availability of feedstock, ethanol production capacity, retail infrastructure, and, ultimately, whether the economics work for motorists.

CHENNAI
businessline.
SATURDAY - OCTOBER 3 - 2026

QUICKLY.

Tata launches the Aeris compact sedan at ₹5.29 lakh



The Aeris replaces the Tigor while carrying forward its mechanicals, but with all new external and interior styling similar to what the Tiago offers. Available in five trim levels, the Aeris is priced between ₹5.29 lakh and ₹9.74 lakh (ex-showroom). The powertrain is a three-cylinder 1.2-litre NA petrol which produces 84.8 bhp (75 bhp in the twin-tank CNG variant). Both the petrol and CNG versions are offered with either a 5-speed manual gearbox or a 5-speed AMT.

Honda's third EV scooter, the Q3, goes on sale in India



Following its EV attempts in the form of the QC1 and Activa e, Honda has launched the QC3 at ₹1.35 lakh (ex-showroom). Better specced and equipped than its other EVs, the QC3 features a 3-kWh battery that takes four hours to charge (0 to 80 per cent in 2 hours and 40 minutes) and offers a claimed 145 km (IDC) range. The QC3 also gets a 5-inch TFT screen and 32 litres of underseat storage and is being sold in four colour options.

Audi begins local assembly of the new Q3 SUV



Audi's upcoming SUV for India, the new-gen Q3, is all set to be launched on October 16, 2026. The new Q3 features a split headlight, configurable DRLs with multiple signatures, heavily revised overall styling and significant interior and feature updates, making it prominently different from the outgoing model. The Q3 will be offered with a 2.0-litre turbo-petrol engine along with an impressive tech suite, aiding it to take its rivals from Mercedes-Benz and BMW head-on.

One for the road

EVOLUTION THEORY. Mahindra's three-door Thar gets a suffix, a new platform and loads of kit to make it more road-friendly. Evolution done right?



PRASHANT SHETTY

Ruman Devmane

The arrival of the second-generation Thar in 2020 also marked the beginning of its tryst with tarmac. Yes, the Thar was always built to mud-plug, but roughly eight minutes into its launch, it had begun to spawn a larger fan following among people who wanted little to do with the unforgiving outdoors. Other than for the optics of it, at best. It's this fanbase that made Thar an unprecedented blockbuster — a success story nobody saw coming. Its evolution, therefore, was going to be dictated by this lot, whether you like it or not.

What you get as a result is this, the Thar OG. It still is an off-roader, as hardcore as its almost-archaic predecessor from 2010, if not more, but it's also quite a bit more of a tar-top car than it ever was. Was this necessary? Yes, of course!

The Thar's bouncy ride quality, shortcomings on the dynamics front, and somewhat uncouth handling and stability were dealbreakers for many. Its cabin, while a marked departure from the crude confines of the first-gen Thar, still left something to be desired. And while it cut an iconic silhouette, it was unthinkable for anyone to be besotted with its grille.

NEW WORLD ORDER

Mahindra was taking notes all along and has now either refined or entirely resolved all of these concerns to varying degrees of success. Really? Yes, and staring intently at the Thar OG will hardly tell you the full story.

Under that familiar shell is a completely new M Glyde 4G platform, which it borrows from the larger Thar Roxx. Next, it gets a major suspension overhaul, now featuring Watts link rear suspension and also frequency-dependent damping, along with Mahindra's breakthrough Da Vinci damping tech. The steering is now electronically power assisted, replacing the hydraulic unit.

The cabin has changed, too, with new features, tech, a slightly tweaked layout and redesigned seats. Lastly (and most visibly), it has a new face, featuring a really cool five-slat grille with a 'Thar' insert, LED headlights (from the Roxx) and a redesigned front bumper, among other smaller changes. Oh, and the wheels have moved up to 19-inch units (top, ZXT-spec), while the rest get 18-inchers.

You can choose from between three engine options, just as before — a 1.5 D117 diesel, 2.2 mStallion petrol and a 2.2 mHawk diesel. While the D117 (117 bhp, 30.5 kg-m) remains unchanged, the mStallion now makes 159.5 bhp and 33.6 kg-m, while the mHawk produces 150 bhp and 33.6 kg-m, a sizeable hike in output figures.

Gearbox options include a 6-speed manual and automatic and, like earlier, RWD and 4x4 options are available too (the 1.5 diesel is RWD and 6MT only). Spread across three variant lines, AXT (D117 only), LXT and ZXT, the Thar OG makes substantial distinctions in what it offers across its various price points, ranging from ₹10.32 lakh (AXT D117) to ₹18.99 lakh (ZXT mHawk, 6AT).

The AXT gets 18-inch steel wheels, halogen headlights, dual airbags and a tubular side footstep. The LXT gets 18-inch alloys, an electronic locking differential, terrain modes, a larger infotainment screen, a colour MID, electrically adjustable ORVMs, fabric seats, cruise control, rear wash/wipe, Android Auto and Apple CarPlay, among other less critical features.

The ZXT, meanwhile, gets 19-inch wheels, the aforementioned LED headlights with cornering function, a wireless charger, disc brakes on all four wheels, TPMS, six airbags, front parking sensors, a rear-view camera, leatherette seats and frequency dependent damping.

ALL GROWN-UP

Keen on hitting the road with our test car (ZXT mHawk, 6AT), I stepped in and was happy to discover it now has an A-pillar-mounted ingress handle on the driver's side in addition to the one on the other side, which shorter drivers will appreciate. The coffee-brown leatherette seats on the ZXT variant aren't ventilated — yet.





TRADE UP. The dashboard layout features a new touchscreen while the wheels on the top-spec variant are now 19-inchers. The redesigned seats look premium PRASHANT SHETTY

The steering wheel is new, the touchscreen brought over from the Roxx looks far sleeker, and the toggle-type row of switches lower down on the dash looks fantastic. The power window controls are now on either door, and the handbrake can still be engaged via a manual lever. What Mahindra hasn't fixed are the flimsy circular air-con vents. Fortunately, you can now open the fuel tank lid via an in-cabin button rather than with a key. You don't need a key to start the Thar either, since there's a button to do the job.

Having set off, two things became immediately apparent: The steering is light to an unthinkable degree, and the cabin insulation levels are pronouncedly improved. That Mahindra historically produces a great air-con unit will add to your comfort, never mind that it even gets rear vents. The elaborate and neatly integrated armrest is a great addition, too. If you're someone with firmly urban expectations, a short test drive will leave you impressed. You must, however, insist on a longer stint.

If you do, you will discover that at low-to-medium speeds, the Thar still feels bouncy. Sure, it's better than earlier but only by a sliver. Road imperfections still do funny things to the Thar, and a monumental shift in its mannerisms can only be experienced at high speeds. Indeed, the highway dynamics of the Thar are noticeably better and, to its credit, it does soak up undulations in a more grown-up manner than it ever could. I suspect the 19-inch wheels don't do it favours; 17s with taller sidewalls may appeal to the more comfort-orientated amongst you.

On another note, while the Thar has always been adequately powerful, the output hike isn't something that's starkly evident through its real-world performance.

While the ride quality and dynamics are certainly better, what's tough to like as a purist is the electronic power steering. It's precise and direct but feels way too light for a car with an attitude. A little mechanical heft surely wouldn't hurt. In the corners, the Thar's nimbleness will surprise you, and I suppose city-only drivers will welcome the EPS, but I missed the feel of the older hydraulic steering — on the road and off it. Coming to which, I'm happy to report that the Thar hasn't given up even a fraction of its off-road ability.

I had the chance to put it through the torture test that Mahindra's Off-Road Academy track in Igatpuri is, and the ease with which it ploughed through every kind of challenge served as a terrific reminder of what the Thar was originally devised to accomplish. Show it a lunar-esque landscape, and it'll put on a performance of the kind that can melt hearts.

Is this the Thar that can compel you to make your move, then? It is, in that it's certainly less of a left-field choice with this update, something Mahindra has progressively worked towards over the years. It remains irrational (from a conventional lens) and is now a little less puristic (if you're a traditionalist), but there's no denying that it's charming, capable and still largely in a field of its own. Whether you choose to buy one as your only car — yes, the OG does enable that possibility — or as a cool addition to your garage, you can remain convinced you've bought a car that's memorable in more ways than one.

TheMotorGram

Worth its V8?

V8 VALUE. The Defender 5.0 V8 gets you fast-car thrills at a considerably lower price than the Octa. A perfect balancing act, then?









PACKING A PUNCH. The 5.0-litre supercharged V8 is age-old but punchy. Adjustable ride height lends immense clearance. The cabin is cool, functional and tastefully minimalist PRASHANT SHETTY

Ruman Devmane

Fast Defenders evoke funny feelings. There's no way a car of this size and with a stance as upright should be able to accelerate like a supercar, and yet Land Rover has proven otherwise — twice. While the range-topping Defender Octa, powered by a BMW-sourced 4.4-litre twin-turbo V8, is properly made, there's another V8-powered Defender you can have. For roughly a crore less. How?

Meet the Defender 5.0 V8. Under its high-set bonnet is a 5.0-litre supercharged V8, an engine that's been around within the JLR family for well over a decade now and has been offered on the Defender since its inception. Except it's no longer the P525 (517.8 bhp) but instead the P425 (419.1 bhp). A detuned Defender? Indeed, but wait — this is supposed to make sense.

OLD-SCHOOL COOL

Given that the only other engine options on a Defender 110 are the P300 2.0-litre inline-four petrol and the D350 3.0-litre straight-six diesel (both mild hybrids), the lack of a more engaging petrol engine option posed a problem. The Octa, while unmatchably exciting, happens to be priced at ₹2.41 crore and, therefore, isn't exactly an accessible alternative.

With this P425 engine, the Defender is able to wear a sticker price of between ₹1.47-1.57 crore (all prices ex-showroom). You can't ignore that kind of saving; it leaves you with enough cash to be able to buy another Defender. Almost!

What the Defender V8 does is offer very exciting performance from an old-school (no turbo or hybrid) engine in an overall package that's traditional — like a sleeper, you could say — rather than being extrovertedly Dakar Rally-inspired, unlike the Octa. How exciting? For one, it can accelerate from 0 to 100 kph in 5.8 seconds, and it does so with a rather pronounced squat. The engine, being supercharged, sounds fantastic even just at idle. Under heavy acceleration, the sound from its quad exhaust pipes is just so disarmingly evocative!

The P425 V8 has a greater downside, however, and that's to do with the way it rides. You somehow feel the weight of the engine, which translates to an uncharacteristically firm ride.

While there are changes to the chassis and suspension mechanicals in this spec, it simply doesn't feel as plush as, say, the diesel-engined Trophy Edition (which gets steel wheels).

FIRST-WORLD CRISIS

You'd imagine it's engineered this way to keep it dynamically at par with its engine performance, but that isn't the case either. It's only as agile and taut as any other Defender you can buy without the Octa badge. The 5.0 V8, then, works best only for those of you who live in first-world conditions, I suppose. Oh, and it's thirsty no matter how hard you try to change its mind.

What it does get you, hypothetically in a WhatsApp group of Defender owners, is bragging rights. While you may almost never need the kind of performance its engine delivers, as crisp and exciting as it may be, that you chose a 5.0-litre V8 does set you apart from the crowd.

I suspect this variant might fetch you better resale value, too, on rarity alone.

If you can (somehow) look past all of that, what you get is a very handsome car with an interior you can't help but love. It's spacious and practical, effortlessly cool, and, as a bonus, also sounds rather delightful, even if some of your neighbours might frown in disgust. If you asked me in person, I'd convince you to buy a Trophy — that's just the sweet spot in the Defender range. Or you could make your colleagues work harder so you could buy the Octa instead.

The MotorGram

A CH-CHE

QUICKLY.

Nabard arm raises ₹180 cr in first WASH bond

Mumbai: Nabkisan Finance Ltd, a subsidiary of Nabard, has listed India's first social bond dedicated exclusively to the water, sanitation and hygiene (WASH) sector on the National Stock Exchange, raising ₹180 crore to finance projects in rural and underserved communities. The issue received strong investor interest and was oversubscribed 1.8 times. The transaction was backed by multiple stakeholders, including Water.org. OUR BUREAU

GP Petroleums to raise ₹130 cr from RevX fund

Mumbai: GP Petroleums will raise up to ₹130 crore from RevX Special Credit Opportunities Fund II to fund business expansion and meet working-capital requirements. The board-approved financing comprises ₹30 crore of non-convertible debentures with a 36-month tenure and ₹100 crore of optionally convertible debentures for 18 months, to be issued through private placement. OUR BUREAU

Active mutual funds beat passive peers, but edge narrows with time

EXPERT REVIEW. Industry participants point to the clear advantages enjoyed by active managers

Ashokamithran T
Mumbai

Active mutual funds across most categories continue to outperform their passive counterparts, even as returns begin to moderate.

Around half of the active funds outperformed passive funds over one-year, three-year and five-year periods, according to Morningstar.

In the large-cap category, annualised returns declined to 3.2 per cent for active funds and 5.6 per cent for passive funds over a one-year period.

The three-year trend shows active funds delivering 10.7 per cent returns and passive funds recording 8.5 per cent.

Similarly in the first year, active small-cap funds generated returns of 3.6 per cent, while passive funds failed to deliver any gains registered a decline of 0.2 per cent.

However, the trend reversed for mid-caps. Mid-cap funds emerged as an outlier, with passive funds returning 3.9 per cent compared with 3.3 per cent for active funds.

ACTIVE VS PASSIVE

- Active funds continue to outperform passive funds across most equity categories
- Mid-cap funds emerged as an outlier, with passive funds returning 3.9 per cent
- By the 10-year mark, active and passive returns had largely converged



"Active is in play because of the number of opportunities that are still alive, and a lot of these opportunities are outside the index, whether it's large-cap, mid-cap or small-cap," said Swarup Mohanty, Vice-Chairman and CEO of Mirae Asset Investment Managers.

However, returns slowed after the three-year period, and the performance gap between active and passive funds narrowed over five years.

By the 10-year mark, returns had largely converged, with active large-cap funds delivering 12.2 per cent and passive funds 12.3 per cent.

SIMILAR TRENDS

Similar trends were visible in mid-cap and small-cap funds. For a 5-year return, the gap was just 50 basis points (bps) in mid-cap funds, with active funds delivering 17.4 per cent and passive funds 17.9 per cent. In the small-cap category, active funds returned 17.5 per cent compared with 15.6 per cent for passive funds.

"Active funds can also take off-benchmark exposure. Well-managed funds can create outperformance through superior stock and sector selection. We see this being successfully executed, particularly in volatile market conditions or when benchmark returns are not driven by just a handful of index heavyweights," said Kaustubh Belapurkar, Director, Manager of Research, Morningstar India.

While some industry participants point to the clear advantages enjoyed by active managers, others argue that the trend reflects the structural characteristics of the market rather than any inherent superiority.

Active fund managers have the potential to outperform because they seek to identify the best-performing stocks while avoiding the worst, said Anil Ghelani, Head of Passive Investments at DSP Fund Managers.

NO LIMITATION

Active fund managers, however, face constraints arising from regulatory categorisation, said Mohanty, and this is where passive funds have an advantage.

"Passives have no limitation in ideation. They can go on launching new ideas," he said.

Asked whether investors should choose between active and passive strategies given that returns converge over a 10-year horizon, Belapurkar said investors who are comfortable evaluating fund managers and stock-selection strategies may prefer active funds, while those who are not may be better served by passive products.

SEBI likely to keep independent director workshops voluntary

Akshata Gorde
Mumbai



The Securities and Exchange Board of India (SEBI) is likely to keep the proposed training workshops for independent directors voluntary, a shift from its earlier plan to make participation mandatory and potentially link it to their reappointment, people aware of the discussions said.

The first workshop, earlier expected to be held in September-October, is now likely to be rolled out after Diwali.

The Bombay Chartered Accountants Society (BCAS), the National Institute of Securities Markets (NISM) and the National Stock Exchange (NSE) are working on the programme, with the BCAS proposal still awaiting inputs from NISM and discussions with the exchanges and regulator.

The workshops were originally proposed as a mandatory, biannual training programme for independent directors, with attendance potentially linked to reappointment after completion of a five-year tenure.

The proposal was aimed at creating a system of continuous professional development for independent directors, similar to continuing education requirements applicable to some other professions.

However, SEBI is not keen on making participation mandatory from the outset. "The idea is to first conduct the programme, let independent directors see its value and then look at how it can be taken forward. Making it mandatory from the start can create opposition and unnecessary restrictions," a person aware of the discussions said.

The programme will focus on building participation and using feedback from independent directors to refine the format before considering whether a mandatory framework is necessary, the person added.

The BCAS has submitted its plan to NISM, which will provide suggestions and consult SEBI before the programme is finalised.

The proposal is also pending discussions at the NSE, with the programme envisaged to be held at the NSE auditorium.

"The chairman was very positive about the initiative, but asked us to consult the NSE and work out the modalities," another person said, referring to discussions with SEBI Chairman Tuhin Kanta Pandey.

CAPACITY BUILDING

SEBI had announced plans for a capacity-building initiative for independent directors after the resignation of Atanu Chakraborty as Chairman and Independent Director of HDFC Bank earlier this year.

Chakraborty had cited practices at the bank that were not in line with his personal values and ethics.

Following this, Pandey had said that SEBI would work on a joint capacity-building initiative for independent directors and stressed the need for a "continuous, structured and collaborative approach to learning" for board members.

An email sent to SEBI did not elicit a response.

Start-ups being acquired 2X faster as incumbents look to buy capabilities

Rohan Das
Chennai

Indian start-ups are finding a faster route to acquisitions as large corporations increasingly look to buy in specific capabilities. According to new data from market research firm Tracxn, the 91 tech start-ups that were acquired in the first nine months of calendar year 2026 were bought just about seven years after their first funding round.

This is a big acceleration compared to the first half of 2025, when the journey to acquisition for start-ups was nearly 15 years.

Speaking to *businessline*, experts said that incumbents today were more comfortable acquiring strong products, capabilities or talent that could be built on top rather than simply buying scale.

STRATEGIC VALUE

"Earlier, an acquisition was often the culmination of a company achieving significant scale. Today, strategic value can emerge much earlier, particularly in technology, AI, enterprise software and specialised verticals," said Pradyumna Dalmia, Managing Partner, Triton Investment Advisors.

Dalmia added that in areas such as enterprise software, AI and specialised technology platforms, a start-up can develop a strategically valuable capability relatively early in its lifecycle. "An acquirer may therefore see value in acquiring that capability before the company reaches the scale to go public," he added.

IPO timelines have shortened, with average time to listing falling from 14 to 8.5 years

Karthik Reddy, Co-founder and Managing Partner at Blume Ventures, mentioned that most M&As in India that happen within five years after the first institutional check occur at the $10–20 million range. "Large dollar exits ($50 million to $500 millon) usually occur between years 3 to 8 of a company's lifecycle as a majority buyout by a financial or strategic investor. Occasionally, a fast-growing company in a hot sector will provide a quicker exit in this range," he said.

Meanwhile, the data showed that the average acquisition price for start-ups acquired in nine months of 2026 stood at $86 million, down nearly 25 per cent from the $115 million in the same period last calendar year. The average funding raised before acquisition went up to $36 million ($26 million). Beyond acquisitions, IPO timelines have also shortened with the average years from first funding to IPO going down from 14 years to 8.5 years.

Dalmia suggested that the choice between IPOs and acquisitions depend on where the long term value exists. "Some businesses have the characteristics to become large independent companies and may ultimately pursue the public markets. Others may create significant value as part of a larger strategic platform or may be building in an inherently consolidating space," he said.

KP Group plans ₹4,000 cr Sun Drops Energia IPO as energy storage emerges as crucial growth driver

Amit Vijay Mohile
Mumbai

Gujarat-based KP Group is planning a ₹4,000-crore IPO of Sun Drops Energia (Sun Drops) within the next 10-12 months, according to people familiar with the matter.

The offering would create the group's fourth listed entity alongside KPI Green Energy, KP Energy and KP Green Engineering, as it pursues an ambitious plan to build 10 GW each of owned renewable-energy capacity and third-party EPC execution, along with 10 GWh of battery-storage capability by FY32.

Sun Drops, a subsidiary of KPI Green Energy, is in the final stages of preparing its draft red herring prospectus. Under a recently restructured group framework, it will house all battery energy storage system (BESS) projects, battery manufacturing operations, group-captive renewable projects, and EPC contracts of up to 50 MW, making it the group's key platform for smaller renewable projects and energy storage.

RENEWABLE POWER

"The future of renewable energy will be dependent on BESS," Chairman Faruk G Patel told *businessline*.

"If you want to scale up your business, you have to be a mix of three things: solar, wind and BESS."

The strategy forms the backbone of KP 3.0, the group's roadmap through FY32.

The target includes 10 GW of owned renewable generation, 10 GW of third-party EPC execution, and 10 GWh of integrated battery capacity spanning cell manufacturing and BESS assembly.


Faruk G Patel, Chairman, KP Group

KP Energy reported a 57 per cent rise in FY26 net profit to ₹181 crore, with total income climbing to ₹1,506 crore. Its order book stood at 2.16 GW, valued at around ₹2,250 crore, at the end of June.

COMPANY'S PLAN

The company plans to commission a 5 GWh BESS assembly facility in FY28, followed by a 5 GWh cell-manufacturing unit in FY29. Over time, both capacities are expected to scale to 10 GWh each at a proposed 110-acre campus in Gujarat.

The expansion comes as growth becomes increasingly capital intensive. KPI Green's June-quarter profit fell 14 per cent year-on-year to ₹95 crore as higher depreciation and finance costs weighed on earnings.

Borrowings rose to ₹4,532 crore at the end of March from ₹1,125 crore a year earlier.

CAPITAL COMMITMENT

In another related development, promoter Faruk G Patel has committed to invest capital commitment of about ₹356 crore into KPI Green Energy in the coming quarter through promoter-group entity Quyosh Energia, completing a ₹475-crore warrant subscription.

The entity has already paid ₹118.75 crore towards warrants allotted in February at ₹470.30 per share.

Management is targeting annual revenue growth of about 25 per cent across group companies through FY32, while maintaining debt-to-equity ceilings of four times for KPI Green (excluding Sun Drops), three times for Sun Drops, and two times each for KP Energy and KP Green Engineering.

Patel said KPI Green has already raised ₹1,300 crore through two QIPs and ₹670 crore *via* a green bond issue, while Sun Drops has secured about ₹430 crore ahead of its proposed listing.

"The proposed ₹4,000-crore IPO would be KP Group's largest equity-market exercise yet, financing its attempt to move beyond simply building and generating renewable power towards owning generation, storing electricity and supplying it when customers need it," said a market analyst tracking the group's growth.

Upzy launches a rest and recharge hub for gig workers

Our Bureau
Hyderabad

Serial entrepreneur Aditya Vuchi has launched Upzy, a start-up that seeks to address a basic problem faced by gig workers — finding a clean and convenient place to rest, use a washroom or have a meal during long hours on the road.

The first facility — Upzy House — was inaugurated by Telangana Minister for Labour Gaddam Vivekanand at Kondapur here on Friday.

The membership-based centre provides them with a place to take a break and recharge before getting back to work, at an affordable price.

Aditya Vuchi, Co-Founder and Chief Executive Officer of Upzy, has said that most digital platforms treat delivery riders merely as a cost item, while his company sees them as its primary customers.

It also has a separate lounge for women and membership costs ₹99 a week or ₹349 a month

"Since they pay us a membership fee, it is our responsibility to provide them with the best service every single day. If the quality drops, they will not return," he said.

FACILITIES AVAILABLE

Open to gig workers across platforms, the centre offers air-conditioned seating, washrooms, breakfast, lunch and dinner, mobile charging and recreational facilities, and free doctor consultations from Monday to Saturday.

It also has a separate lounge for women. Membership costs ₹99 a week or ₹349 a month. A six-month survey by the start-up, covering 4,163 gig workers in Kondapur and nearby dark-store clusters, found that 68 per cent spent more than 10 hours a day on the road. As many as 90 per cent used roadside or public toilets. Only 5 per cent said their platforms provided adequate washroom access.

Shaik Salauddin, Founder President of the Telangana Gig and Platform Workers Union, wanted the government to make Upzy a partner for upcoming public worker restrooms and meet maintenance costs from the Gig Worker Welfare Board's cess funds. The Minister said the State had introduced legislation on the registration, social security and welfare of platform-based gig workers in the Assembly.

Vuchi and Niranjan Seelam, Co-founder and COO of Upzy, had earlier co-founded Zippr.

NaBFID completes first US dollar bond issuance, raises $750 million

Anupama Ghosh
Mumbai

The National Bank for Financing Infrastructure and Development (NaBFID) completed its debut US dollar bond issuance, raising $750 million through a 10-year benchmark bond priced at 105 basis points over US Treasuries, resulting in a coupon of 6.122 per cent.

The bond is listed on both GIFT IFSC exchanges, India INX and NSE International Exchange.

The issuance is the first drawdown under NaBFID's $4 billion Global Medium-Term Note (GMTN) programme and is rated BBB+ by CareEdge. The bond matures September 30, 2036 and is expected to be eligible for inclusion in widely-tracked emerging market indices, including EMBI and JACI.


Rajkiran Rai G, MD, NaBFID

US investors accounted for 55 per cent of demand, followed by Europe, West Asia and Africa at 30 per cent, and Asia at 15 per cent. The US allocation followed NaBFID's conversion of its original programme structure to a GMTN format, which opened access to American investors. Managing Director Rajkiran Rai G said the response "reflects their confidence in the institution's credit strength, institutional mandate and India's long-term infrastructure growth potential".

FULLY HEDGED

The principal's currency risk is fully hedged through a Reserve Bank of India swap for five years. The bond carries a fixed coupon, locking in borrowing costs for the tenor.

CFO Monika Kalia said the transaction "establishes an important reference point for future foreign currency issuances."

NaBFID, which requires $10-12 billion annually for infrastructure financing, is building the GMTN programme to diversify beyond domestic capital markets.

Telangana, Maharashtra, UP lead State rankings in data centre policy attractiveness, says S&P Global report

Press Trust of India
New Delhi

Telangana has emerged as the State offering the most attractive policy package for data centres in India, backed by strong electricity and regulatory incentives, while Maharashtra and Uttar Pradesh have formulated balanced frameworks with extensive packages covering power, infrastructure, capital, and regulatory mechanisms, according to a report by S&P Global.

Gujarat has established the most lucrative electricity and ease of doing business measures focused on drawing hyperscalers, placing all four leading States at scores of around 50 out of 100 on S&P Global Energy's Data Center Policy Attractiveness India index, the report, titled *India Forward: Reimagining Growth*, stated.

The index evaluated 19 State policies, spanning information technology, IT-enabled services, data centres, and global capability centres, across 11 States enacted since 2016.

FOUR CATEGORIES

The rankings were assessed on four core incentive categories: Electricity, land and capital, operational and technical support, and regulatory and ease of doing business frameworks.

A second cluster of States with scores between 42 and 45 comprises Odisha, Haryana, Andhra Pradesh and Karnataka. In this group, Andhra Pradesh leads overall



in land and capital support benefits, while Karnataka features notable EoDB measures, including an Essential Services Maintenance Act cushion.

Odisha and Haryana's strategies focus on broad-based incentives spanning the entire project life cycle.

The third cluster, scoring between 30 and 40, includes Rajasthan, Tamil Nadu and West Bengal. While Tamil Nadu performs strongly on capital expenditure support, including captive renewable energy infrastructure, both Tamil Nadu and West Bengal scored lower on electricity sector incentives.

ELECTRICITY DEMAND

According to S&P Global Energy, "competitive federalism" is driving states to offer targeted fiscal incentives, streamlined clearances, and reliable clean power as data centres emerge as a distinct, critical infrastructure asset class.

India's existing data centre capacity — from enterprise collocated and dedicated facilities — stands at about 1.5 gigawatts (GW). Over the next decade, 5 GW of capacity has already been committed, with an additional 6-7 GW announced or in the early stages of planning. Citing official parliamentary projections, the report noted that overall capacity is expected to surge to 26.3 GW by the 2031-32 fiscal year. Consequently, the total electricity demand from Indian data centres, is estimated to grow at a compound annual growth rate of 18 per cent between 2025 and 2035, the report added.

"As the global security and trade landscapes shift once again, India's geopolitical strategy is likely to need recalibration. The country needs actionable ways to maximise diplomatic leverage, secure access to new markets and resources, and create domestic conditions to manage global competition," the report said.

the hindu businessline.
SATURDAY - OCTOBER 3, 2026

CAFE smokescreen

Fuel efficiency norms for cars disappointing

After more than a year of debate, the Centre has notified the third phase of Corporate Average Fuel Economy (CAFE) norms for passenger vehicles, to come into effect from April 1, 2027, for five years. Since April 2024, there have been discussions over three broad issues: whether the draft does, or should, favour small cars; the merits of 'super credits' to electric vehicles; and the question of regarding EVs as being truly pollution free.

To that, there's a recent fourth dimension — whether the ethanol blending mandate should affect fuel emission standards. But broadly speaking, the new norms do little to alter the status quo in favour of creating a fuel-efficient, cleaner auto sector. The CAFE norms revolve around a central formula that spells out the permissible annual average fuel consumption of an auto maker, essentially based on the weighted average of its fleet. A fuel efficiency standard here is equated to a carbon emissions standard. The final norms, compared with its draft versions, do away with a carve out for small cars and instead tweak the formula a bit to help this category. It is beyond doubt that small cars are more fuel efficient than big ones. Yet, the fact remains that despite tweaks in the formula to help small cars, large cars get away with less stiff fuel economy standards.

This is because the permissible fuel consumption, in the ultimate analysis, goes up or down with the average weight of the OEMs' fleet — notwithstanding changes in the coefficients and constant values that make up the formula. Two of the three such values — pertaining to fuel economy, reference weight and a multiplier that links the two — decline slowly over five years, which lowers, and therefore tightens, the fuel consumption target. Since this transition is a gentle one, OEMs are not really complaining. But this is not good news for people at large — especially if large vehicles continue to have their way, literally speaking, on the roads. They guzzle fuel (an incongruity in these times of fuel stress) and occupy too much road and parking space — for which they must cough up more taxes.

Besides, generous super-credits for EVs can arguably do little to promote their output. A supercredit of three for EVs (counting one as three EVs) means that the real fleet of an OEM is less green on the ground than it is on paper, actually allowing more ICE vehicles output. The rewards for hybrids and flex cars have been rightly reduced from earlier drafts. It is a stretch to regard EVs as emissions free, when most power generated comes from coal. By that token, ethanol too has high life-cycle emissions. A concession in standards for petrol vehicles on account of the blending mandate is questionable. Finally, CAFE norms, with their emphasis on weight, resemble the US approach of privileging large ICE vehicles. Instead, a strict, industry-wide fuel efficiency standard should be set without any reference to weight, giving OEMs the freedom to devise their mix of vehicles.

America's looming debt reckoning



KENNETH ROGOFF

STRETCHED. The US has the resources to deal with its fiscal issues. What it lacks is the political appetite to make painful choices



GETTY IMAGES

America's fiscal position is increasingly looking like a train hurtling along a twisting mountain track. No one seems willing to slow down for fear of falling behind schedule and losing their job. Even if the train doesn't crash, it is worth asking: Why keep pushing it? Despite solid growth, the federal deficit is about 6 per cent of GDP. Yet the option of slowing down does not appear to be in President Donald Trump's playbook.

The start of a public-debt crisis is usually pretty straightforward. The end is much harder to predict. A crisis can erupt when a country's debt is historically high but has remained manageable thanks to low interest rates. Then, for whatever reason, rates begin to rise. It might be because of global forces, a change of government, or simply because memories of previous financial crises have faded.

This is roughly where the United States finds itself today. Rising borrowing costs would be less of a problem if the government had locked in cheap long-term financing, but it didn't. Most homeowners, by contrast, did. They are still enjoying low monthly payments even though rates on new mortgages have soared above 7 per cent.

INTEREST PAYMENTS

As a result, US interest payments have gone from being something of a nuisance to the second-largest item in the federal budget in just six years, and they are bound to become the largest before long. As high interest rates add to the deficit, the government has three choices. It can raise taxes, cut spending, or borrow more. For the most part, the US government has chosen borrowing.

If the US is lucky, the market will remain reasonably forgiving and assume the government will eventually get its debt problem under control. Unfortunately, bond investors are growing wary of the global debt glut. It is a fair bet that, at some point, the government will respond with modest deficit reductions and hope that buys it time. That strategy often works, but after many years of this, the market may need to see more.

So far, the Trump administration has preferred to remind everyone how great the economy is, or at least how great the stock market thinks the economy is. Treasury Secretary Scott Bessent has leaned heavily on faster growth as the answer to America's fiscal problems. Trump, for his part, seems to have little interest in dealing with the deficit, judging by his promise to give every American a $5,000 "dividend" if Republicans maintain control of Congress in the upcoming midterm elections.

Bessent might be right that US growth will exceed expectations. But as I have argued before, there are good reasons to think that even if growth remains robust, the extra tax revenues from AI will be disappointing.

The US is nowhere near a debt crisis, but what would it take to trigger one? For starters, interest rates would have to keep rising. That is not hard to imagine. If the Iran war drags on, and political dysfunction worsens, the ten-year Treasury could rise by another percentage point, pushing the federal deficit higher. And if the government still fails to respond, things could start to snowball. Eventually, its choices could narrow to some combination of high inflation, financial repression, default, or austerity. Even a serious scare would limit how aggressively policymakers could respond to future recessions and financial crises. High debt could also weigh on growth, as it has in other advanced economies.

Trump seems to have little interest in dealing with the deficit, judging by his promise to give every American a $5,000 "dividend"

PAINFUL CHOICES

How bad things get will depend above all on whether the administration can regain bondholders' confidence without paying an enormous political price. The trouble is that debt crises tend to erupt precisely when governments are already stretched thin, both economically and politically.

The US has the resources to deal with its fiscal issues. What it lacks is the political appetite to make the necessary painful choices. And that may not change until a debt crisis forces voters to rethink their priorities. On its current trajectory, however, the country has no room for anything to go wrong, whether it's a war, an environmental catastrophe, or a large-scale cyberattack requiring a massive increase in government spending.

Most advanced economies face some version of the same debt problem, without the benefit of issuing the world's reserve currency. The United Kingdom is particularly exposed. Unlike debt-challenged France, it cannot fall back on economically stronger Germany. Canada is in much better shape, which is good, because who knows what the Trump administration might ask for in return if Canada sought financial help. As for the US, it has no one to turn to, except perhaps the International Monetary Fund — and even then, mostly for moral support.

The writer, a former chief economist of the International Monetary Fund, is Professor of Economics and Public Policy at Harvard University and the recipient of the 2011 Deutsche Bank Prize in Financial Economics. Copyright: Project Syndicate, 2026.

A modest repo rate hike will be in order

The MPC cannot disregard the broader tightening bias globally. Also, a hike will help RBI stay ahead of the inflation curve

Rahul Mazumdar
Indranil Mondal

The October MPC is less than a week away, and a 25-basis-point increase in the repo rate would not necessarily herald an aggressive tightening cycle. On the contrary, it would serve as an insured move against a broadening inflation which is inching north, and a less benign external environment which is refusing to ease. Hence, a modest increase in October could help the RBI to stay ahead of the inflation curve without materially disrupting growth. Essentially the choice is not between tightening and restraint, but between acting early and being forced to act more forcefully later.

Further, the recent developments in the US have narrowed RBI's room for delay. The US Fed raised its policy range by 25 basis points to 3.75-4 per cent in September while signalling further tightening this year. US Treasury yield continued to surge, with the 10-year touching 5.26 per cent and 3-year touching 4.98 per cent by September 29, making the dollar attractive and naturally tightening financial conditions for emerging markets.

And hence akin to other emerging markets (EMs), India too will experience a narrower interest-rate differential making the rupee less attractive, leading to continued outflow of capital as is being experienced in the capital market. The rupee, which has fallen by 8.1 per cent in last 12 months, is poised to further amplify the inflationary numbers.

Renewed foreign portfolio outflows have added to external pressures in India. FPIs sold a net ₹25,662 crore of Indian equities through September 29, reversing net purchases of ₹20,200 crore in July and ₹29,630 crore in August. Higher US yields, expensive crude and rupee weakness have reduced the risk-adjusted appeal of Indian assets. A modest repo hike would not be sufficient to reverse these flows, nor should defending a particular exchange-rate level become a monetary-policy objective. Even so, persistent foreign selling could deepen pressure on a falling rupee, making continued neutral stance increasingly difficult to justify.

CRUDE OIL LINK

In fact, crude oil is the most direct link between geopolitical tensions and India's inflation outlook, and RBI's monetary objective. Brent above $100 a barrel threatens to raise the import bill, pressure the rupee and increase transport and industrial input costs. If the shock persists, businesses will increasingly pass higher freight and production costs to consumers, risking a transition from a relative-price shock to broader and more persistent inflation.

Inflation data strengthen the case for preventive action. Headline CPI inflation rose from 4.45 per cent in July to 4.82 per cent in August, its third successive reading above the RBI's 4 per cent target, although still within the tolerance band. Food inflation increased to 5.95 per cent, while pressures were also visible in select services. With growth retaining momentum, a modest increase now could carry a lower economic cost than a larger response later if price pressures persist and inflation expectations rise.



INFLATION DATA. Strengthen the case for preventive policy rate action

India's bond market is already signalling the shift, with the benchmark 10-year government bond yield moving decisively above 7 per cent in September as higher crude prices, rising global yields and the RBI's open-market bond sales prompted investors to demand a larger risk premium. Meanwhile, surplus banking-system liquidity reflected in the RBI's absorption operations, generated substantially by rupee injections against FCNR(B) and other inflows through the forex swap window, exceeded ₹10 lakh crore in early September before falling below ₹5 lakh crore by September 22. VRRR auctions, open-market bond sales, tax outflows and seasonal currency demand absorbed much of the excess. Going forward, the RBI may need to calibrate liquidity absorption carefully, keeping overnight rates aligned with the repo rate while avoiding an unduly sharp tightening of credit conditions.

The RBI need not follow the Fed in lockstep, but it can ill afford to disregard a broader tightening bias in global monetary conditions. Given the current situation, procrastinating a possible repo increase may be avoided. Even an October increase would affect demand and inflation only with a lag.

While external benchmark-linked loans may become costlier quickly, the impact on MCLR-linked loans, deposit rates and the wider economy will take more time. Strong competition among banks during the festive season may also keep the immediate rise in lending rates in check.

Waiting until December would push much of the impact further into Q4 2027, by which point persistent oil and currency pressures may be more firmly embedded in domestic inflation. The experience of 2022, when delayed normalisation culminated in an unscheduled rate hike and cumulative tightening of 250 basis points, illustrates the potential cost of delayed policy intervention.

Mazumdar is Senior Economist, and Mondal is Economist, with Exim Bank. Views are personal

OTHER VOICES.

THE WALL STREET JOURNAL. EUROPE

Trump has the right instincts on AI

Say this for President Trump: He understands the stakes in the AI race with China. Not so Senate Democrats, who this week torpedoed legislation to create a framework for data centres to fully cover their share of the electric grid's costs. Why? Because the bill doesn't strangle AI with regulation. The President is being ridiculed for convening AI executives this week to sign what he called a "morally binding" compact to self-police. The Washington press corps apparently thinks he should be calling for the heads of AI executives on pikes and urging a federal takeover of AI under the guise of safety. Mr. Trump is striking a more sensible path. (NEW YORK, OCTOBER 1)

CHINA DAILY

Forging ahead with firm confidence

At a reception on Wednesday marking the 77th anniversary of the founding of the People's Republic of China, President Xi Jinping called on the nation to forge ahead with firm confidence and solid steps towards the great rejuvenation of the Chinese nation. His remarks offered both a review of the road already travelled and a clear indication of the way forward. Combining confidence with sobriety, the speech recognised both the opportunities and challenges facing China. Under the leadership of the Communist Party of China and through the sustained efforts of the Chinese people, the country has maintained rapid economic growth and long-term social stability. The progress of the nation, secured amid a complex and changing international environment, has provided solid grounds for the Chinese people to remain confident in the bright future of the country's modernisation. (BEIJING, OCTOBER 1)

LETTERS TO EDITOR

Send your letters by email to bleditor@thehindu.co.in or by post to 'Letters to the Editor', The Hindu Business Line, Kasturi Buildings, 859-860, Anna Salai, Chennai 600002.

Economic hurdles

This refers to 'Economy faces inflation and investment hurdles: FinMin Report' (October 2). India's trade deficit remains a concern, FPI/FII outflows have pressured equities, and the rupee's depreciation against the dollar has persisted.

Except for measures such as the special FCNR(B) initiative, there appears limited emphasis on restoring foreign investor confidence. LTCG and STCG taxes can discourage equity investment, while domestic investors cannot indefinitely support valuations without convincing growth prospects. FCNR(B) depositors received concessions, including RBI absorption of hedging costs, creating a "hidden cost" for the system/public finances, while domestic investors continue to face relatively less favourable conditions across debt, equity and bank fixed deposits. Overall, pragmatism on the economic front seems to have been the casualty.

Srinivasan Velamur
Chennai

Insurance sector reforms

This refers to 'Taking stock of IRDAI's distribution reset (October 2). These reforms are well-meaning and brook no delay in implementation once feedback is completed on October 25. They bring back the correct order of priority in the insurance ecosystem attaching much needed primacy to policyholder protection, followed by sustainable insurance business and fair distribution of cost structure.

After the good climate created for 100 per cent FDI through legislation by Parliament, the Indian insurance sector is being watched with interest by the world and the proposed reforms would well-align with the objectives of the legislation.

Angara Venkata Girija Kumar
Chennai

Reining in inflation

Apropos 'RBI's inflation-fix formula' (October 2), the flexible inflation-targeting framework has given monetary policy a clearer anchor, while allowing room to respond to changing economic conditions. Its credibility, however, depends on transparent decisions and effective communication.

Inflation is not driven by interest rates alone; food prices, supply disruptions and global energy costs can quickly affect households.

The RBI should therefore strengthen coordination with the government on supply-side measures while retaining its operational independence.

SP Suganya Devi
Coimbatore

A leg-up for PMS

Apropos 'PMS promise' (October 2). SEBI's revised framework could make Portfolio Management Services accessible to a wider group of investors, but expansion should not come at the cost of investor protection.

Lower entry thresholds and greater investment flexibility are useful only when clients understand the risks and costs involved. PMS providers should disclose performance after all fees, compare returns with suitable benchmarks and clearly explain downside risks. Independent audits and stronger grievance redressal would also improve confidence.

Investors should not be encouraged to treat PMS as a substitute for diversified mutual funds.

A Myilsami
Coimbatore

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QUICKLY.

New AIF from Saroj Poddar Group, Keventer

Kolkata: Saroj Poddar Group and Keventer Group-backed investment management platform, Poddar Keventer Capital Advisors, has launched its maiden category II Alternative Investment Fund (AIF), focused on secured real estate debt opportunities, targeting a corpus of ₹400 crore. The category II Alternative Investment Fund, the first AIF launched by a real estate developer from West Bengal, is expandable to ₹600 crore through a ₹200 crore greenshoe option. The Poddar Keventer Real Estate Fund – Scheme I will pursue a secured real estate debt strategy across Delhi-NCR and West Bengal, with a target gross IRR of 18-22 per cent before expenses. The sponsors have committed 20 per cent of the target corpus at ₹80 crore, demonstrating strong alignment with investors. The Fund will provide structured financing to select real estate projects including ultra-luxury, premium and mid-market developments. OUR BUREAU

Nishesh Shah is spices exporters' body Chairman

Kochi: The All-India Spices Exporters Forum (AISEF) has elected Nishesh Shah as Chairman and Bhavik Desai as Vice-Chairman for 2026-27, with the new leadership focusing on value addition, sustainable sourcing and strengthening India's position in the global spice trade. Shah, Managing Partner of the Kochi-based company Universal Oleoresins, has more than two decades of experience in the spices industry. His company manufactures spice oils, oleoresins, natural colours and nutraceutical ingredients for food and flavour manufacturers across global markets. As Chairman, Shah is expected to focus on expanding the country's role beyond that of a supplier of raw spices. OUR BUREAU

Centre consistently working to ensure better incomes for all farmers, says FM

HELPING HAND. Centre, State implementing farmer-focused schemes, supporting aquaculture and livestock farming

Our Bureau
Hyderabad



NEW BEGINNINGS. Finance Minister Nirmala Sitharaman, AP Chief Minister N Chandrababu Naidu, Deputy Chief Minister K Pawan Kalyan, Reliance Industries Executive Director Anant Ambani and Minister Nara Lokesh at the foundation stone laying ceremony of the Rayalaseema horticulture hub and the Indian School of Agriculture in Madanapalle, Andhra Pradesh

The Centre is consistently working with the objective of ensuring better incomes for all farmers, Finance Minister Nirmala Sitharaman said.

Speaking after the launch of the horticulture hub and the foundation stone ceremony for the Indian School of Agriculture at Madanapalle in Andhra Pradesh on Friday, Sitharaman said the initiative was significant as it coincides with the birth anniversaries of Mahatma Gandhi and former Prime Minister Lal Bahadur Shastri.

Their messages of Swadeshi-Swaraj and Jai Jawan-Jai Kisan placed farmers at the centre of the country's development, she added.

SUPPLY SECURITY

Prime Minister Narendra Modi continued this focus through schemes such as the PM-Kisan and measures to ensure adequate availability of fertilizers, the Union Minister said.

Despite global conflicts and supply disruptions, efforts were being made to ensure that farmers do not face shortages, she added.

While the international cost of a bag of urea was around ₹3,000, farmers in India were getting it for about ₹300.

"The Centre bears a subsidy of ₹2,700 on every bag," she said. The government has also introduced climate-resilient crop varieties and schemes such as GOBARdhan for biogas production and PM-KUSUM for providing solar-powered agricultural pumps, she said.

Various schemes were being implemented based on the needs of farmers, including support for aquaculture and livestock farming through joint efforts of the Centre and the State government.

The Centre and Andhra Pradesh government were working together to develop all 10 districts of the State as a global horticulture centre, Sitharaman added.

FARMER SUPPORT

Referring to the Indian School of Agriculture being established by Reliance, she said the institution would provide support to farmers and develop into an institution on the lines of the Indian School of Business.

Andhra Pradesh Chief Minister N Chandrababu Naidu said the State was working to transform drought-prone Rayalaseema into a global horticulture hub with an investment of ₹1 lakh crore.

The State had planned ₹40,000 crore of investment with Central support and another ₹60,000 crore through private investments for developing the hub, Naidu said.

The programme would cover 5,860 villages organised into 201 clusters across 10 districts, including the erstwhile Prakasam district and Rayalaseema. Horticulture cultivation would be expanded by an additional six lakh acres.

"Give irrigation to the people of Rayalaseema, and they will grow gold. Through marketing, they will create wealth," Naidu said, adding that the region had the potential to produce a wide range of crops — from apples and strawberries to bananas, avocados, kiwis and dates, according to a release.

US job growth slows in Sept; unemployment rate rises to 4.2%

Reuters
Washington

US job growth slowed more than expected in September, but that likely does not signal a material shift in the labour market, with the weakness likely related to a calendar quirk.

Non-farm payrolls increased by 29,000 jobs last month after a downwardly revised 133,000 rise in August, the Labour Department's closely watched employment report showed on Friday. Economists polled by *Reuters* had forecast payrolls advancing90,000 after a previously reported 162,000 surge in August. Estimates ranged from as low as 35,000 to as high as 180,000. Volatility linked to seasonal adjustment factors, the model the government uses to strip out seasonal fluctuations from the data, probably accounted for both the meagre payroll gains last month and the downward revision to August's count.

Payrolls have a tendency to underperform when the Labour Day holiday falls late in the month, as was the case this year, economists noted. There have been no signs of a broad increase in lay-offs. First-time applications for unemployment benefits have been hovering at 57-year lows amid robust corporate profit growth and resilient domestic demand.

Economists, however, expected that growing headwinds from the US-Israel war with Iran, including high energy prices and strained supply chains, would start disrupting the labour market by the end of this year and into 2027.

PRICE PRESSURE

Diesel prices are at record highs and could start to exert pressure beyond the transportation and agricultural sectors. Ongoing tariffs also are a source of concern, with an Institute for Supply Management survey on Thursday showing rising anxiety among manufacturers over the trade war with Canada.

The unemployment rate increased to a still-low 4.2 per cent last month from 4.1 per cent in August. The unemployment rate is being kept low as retirements and the Trump administration's immigration crackdown reduce labour supply. The economy needs to create between 50,000 and 80,000 jobs per month to keep up with growth in the working-age population, economists estimated.

The Federal Reserve last month raised its benchmark overnight interest rate by 25 basis points to the 3.75-4 per cent range, the first hike in three years, and flagged further increases in borrowing costs ahead.

The odds of another rate hike this month were diminished by cooler-than-expected inflation readings for August and July. Ahead of the employment report, financial markets are pricing in a roughly 22 per cent chance of further monetary policy tightening at the Fed's October 27-28 meeting, down from about 69 per cent a week ago, the CME Group's Fed Watch tool showed.

'Ethanol sector not competing for maize with any sector'

Subramani Ra Mancombu
Chennai



Bharati Balaji, Deputy Director-General, All India Distillers' Association

The ethanol industry is not competing with any specific sector for maize but is utilising the hardy cereal to create value for Indian agricultural resources.

It is also intended to support energy security and rural value chains, All India Distillers' Association (AIDA) Deputy Director-General Bharati Balaji has said.

"Current data also show that ethanol is drawing from a diversified basket that includes surplus FCI (Food Corporation of India) rice, damaged foodgrains and sugar-based feedstocks. Going forward, continued improvement in maize productivity, supply-chain efficiency, availability of alternative feedstocks and better alignment between agricultural output and industrial demand can help ensure that different end-use sectors are adequately supported," she told *businessline* in an email interview.

The rising contribution of maize, surplus FCI rice and damaged food grains is significant because it demonstrates how India's ethanol industry is evolving into a genuinely multi-feedstock ecosystem, she said.

"By August-end, maize contributed around 345 crore litres, surplus FCI rice around 214 crore litres, and damaged food grains around 64 crore litres of ethanol. These volumes clearly demonstrate that alternative feedstocks are no longer marginal sources; they are becoming an important part of India's overall ethanol supply chain," said Balaji.

If the availability of one feedstock is constrained in a particular season or region, other feedstocks can help maintain continuity of ethanol production. "Maize is particularly important because it provides an additional agricultural pathway for ethanol production and can complement other feedstocks," she said.

FCI RICE UTILITY

Similarly, surplus FCI rice provides a mechanism to productively utilise available foodgrain stocks, while damaged or non-food-grade grains that are unsuitable for human consumption can be diverted to industrial ethanol production.

70% OF SUPPLIES

The contribution of 624 crore litres from grain-based feedstocks by August-end highlights the significant evolution of India's ethanol feedstock basket.

At nearly 70 per cent of the 895 crore litres supplied during the period, grain-based ethanol has moved from a supplementary source to a major pillar of the ethanol programme, said the association's DDG.

"For the industry, this diversification is extremely valuable. Grain-based ethanol has become an important pillar alongside sugarcane juice, B Heavy Molasses and C Heavy Molasses," she said.

The next phase of ethanol production will increasingly focus on creating additional avenues for utilisation, Balaji said.

Cheaper edible oil may help save the grams in a ₹10 snack pack this Diwali

Amit Vijay Mohile
Mumbai



MARGIN IMPACT. Bikaji, Haldiram's, Prataap, Britannia and ITC face varying degrees of oil exposure. Cheaper inputs have yet to translate into fuller packs

A ₹10 packet of *namkeen* has two prices: The one printed on the wrapper and the one measured in grams. India's edible oil duty cut could help leading food companies protect both this festival season, after rising input costs pushed parts of the industry toward price hikes and smaller packs.

Effective September 24, the government reduced import duties on crude palm and soybean oils and eliminated the duty on crude sunflower oil. Including levies, effective duties fell to 11 per cent for palm and soybean oils and 5.5 per cent for sunflower oil.

PRICE IMPACT

India Ratings estimates landed costs could decline by 4-5 per cent for palm and soybean oils and 8-9 per cent for sunflower oil. However, the pass-through will depend on global prices and the pace at which companies exhaust higher-cost inventories.

Bikaji Foods has offered the clearest signal. After two price hikes in four months, it has planned to hold retail prices through Diwali. The company expects oil costs to decline 3-4 per cent in the coming weeks but has indicated that the benefit will initially be used to rebuild margins rather than increase pack sizes.

For Haldiram's, for which palm oil is a key raw material, lower costs could ease production expenses, though the company has made no commitment on pricing or pack weights.

Prataap Snacks, which previously used lower grammage to offset edible oil inflation, may face less pressure to shrink packs further. No change in strategy has been announced.

Britannia, which had highlighted a more than 20 per cent rise in palm oil prices and relied on grammage cuts in ₹5 and ₹10 packs, could see some relief. However, it has not revised its guidance publicly.

ITC, which cited edible oil inflation as a margin headwind in its foods business, could benefit across Bingo, Sunfeast and YiPPee, but has not announced any changes to pricing or pack sizes.

SMALL PACKS

The stakes are highest in small packs. Systematix Research estimates ₹5 and ₹10 packs account for 70-80 per cent of organised savoury snack sales. Based on industry assumptions, a 3-4 per cent reduction in edible oil costs could translate into an illustrative annual gross benefit of ₹235-330 crore for the organised snacks sector.

Beyond the five companies, Nestle India's Maggi highlights earlier shrinkflation, with some packs reportedly losing 7-9 per cent weight while prices remained unchanged. HUL's benefit is likely limited, as the duty cut does not cover the palm-derived ingredient used in its soaps. Neither company has indicated plans to restore pack weights.

OPEC+ delays oil capacity review after Iran war disrupts expansion plans

Reuters
London/Moscow



UNCERTAINTY AHEAD. The West Asia conflict has delayed projects that were due to boost production capacity in some OPEC+ countries

An OPEC+ review to help determine members' 2027 oil output quotas has been delayed after the US-Israeli war on Iran disrupted projects to expand capacity across West Asia, throwing estimates of future production potential into uncertainty, two sources close to the matter said.

OPEC+, which comprises the Organization of the Petroleum Exporting Countries plus Russia and other allies, had ordered its production capacity review for all members in late 2025 before setting 2027 quotas, with completion due by the end of September 2026.

The deadline has slipped, the sources said, with one saying the review is now expected to be completed by mid-November.

The OPEC producer group did not respond immediately to a request for comment.

At its last group-wide meeting in June, OPEC said it affirmed "the importance of completing the maximum sustainable production capacity (MSC) assessment for all (member) countries to be used as reference for 2027 production baselines".

CAPACITY UNCERTAINTY

US petroleum consultant DeGolyer and MacNaughton is working on capacity estimates for OPEC+ members except Russia, Iran and Venezuela because they are under US sanctions, sources told Reuters in late 2025.

DeGolyer won't submit its report to OPEC until mid-November, one of the sources said.

That timeline would still allow OPEC+ to consider the findings at its next group-wide meeting in late November.

DeGolyer and MacNaughton did not respond immediately to a request for comment.

The West Asia conflict has delayed projects that were due to boost production capacity in some OPEC+ countries, complicating estimates of how much oil they will be capable of pumping.

Not all countries have submitted the data required for the review, the sources said without naming the countries.

The uncertainty complicates a politically sensitive exercise for OPEC+, with production capacity estimates likely to influence how much individual members are allowed to pump.

The review aims to provide an updated independent assessment of how much oil each member can produce sustainably, a key metric used in negotiations over output targets.

Delays to planned capacity additions could affect assumptions underpinning those assessments and potentially, members' future quotas.

Countries whose assessed capacity is lower could face pressure for lower quotas while producers that have expanded capacity might seek higher allocations.

Manufacturing start-ups face capacity-funding dilemma

Jyoti Banthia
Bengaluru



Customers want capacity before placing large orders, while investors want proven demand before funding that capacity

The manufacturing start-up ecosystem is attracting growing interest from venture and growth investors, but companies face a structural funding challenge: investors want evidence of customer demand and repeat orders before committing significant capital, while industrial customers often want production capacity in place before placing large orders.

Ethereal Machines Co-founder and CEO Kaushik Mudda said this creates a difficult starting point for capital-intensive businesses. "When you want lots of customers to take a bet on all of this, you need to be able to show them that the capacity is already there," he said.

Ankit Kedia, Founder and lead investor at Capital-A, said industrial automation, components, deeptech, energy infrastructure, medical devices, spacetech, EVs and advanced materials are among the areas gaining traction. Investor interest is increasingly shifting towards businesses where manufacturing itself creates the moat, he said.

"The common thread is that the value sits in the process — how you engineer, manufacture and deploy the product rather than just the design. That is where defensibility gets built," Kedia said.

PHYSICAL CAPABILITIES

AI is making software easier to replicate, increasing investor attention on physical capabilities, Kedia said. Power electronics, storage components and grid equipment are among the less visible infrastructure businesses that could benefit from this shift.

The funding challenge becomes sharper as companies move from pilots to commercial scale. Jinesh Shah, Managing Partner at Omnivore, said companies often need substantial capital at this stage but remain too early for traditional bank financing and too large for seed investors. "Very ordinary things can also hold growth back: delays in customer approvals, unreliable suppliers, production problems and long payment cycles," Shah said.

Ajay Modi, Director at Piper Serica, said investors are increasingly looking for a working product, customer testing and a clear path to repeat orders, rather than simply backing the broader India manufacturing thesis.

Meanwhile, Jashank Pohani, Head of Family Office Relationships at Artha Group, said the opportunity extends beyond start-ups to existing manufacturing businesses that can be professionalised and automated.

"Not every manufacturing opportunity needs venture capital at all," Pohani said, pointing to established businesses with customers, cash flows and manufacturing know-how but limited adoption of modern technology and management practices.

The shift could give manufacturing a larger share of VC and growth capital, but investors may need to combine equity with equipment finance, working capital and venture debt as companies move from pilots to commercial production.

Dhanuka Agritech unveils Wetcit Neo biosolution

Our Bureau
Mangaluru

Dhanuka Agritech has announced the launch of Wetcit Neo, a plant-based biosolution adjuvant designed to enhance the application efficiency of crop protection and crop nutrition products.

Wetcit Neo addresses a key challenge by improving spray spreading, coverage and absorption, particularly on crops where waxy leaf surfaces can limit the effectiveness of conventional sprays, said a company statement.

It is formulated to reduce the surface tension of spray water, enabling droplets to spread more uniformly and adhere to plant surfaces.

Rosetta Hospitality plans ₹650 crore expansion

Aishwarya Kumar
Bengaluru

Rosetta Hospitality is committing nearly ₹650 crore to its next phase of expansion as the leisure company seeks to build premium resorts within driving distance of India's major metros and unlock capital through a resort-plus-residences model.

Rosetta's Sakleshpur property generated around ₹55 crore in revenue with a 50 per cent gross operating profit (GOP) margin, while its Goa property, Elements by Rosetta, generated ₹24 crore with a 42 per cent GOP margin, Joint MD and CEO Jai Sreedhar said.

The company, which currently operates properties in Sakleshpur and Goa, plans to deploy the committed capital across expansions at its existing resorts and its upcoming Kallepura property in Chikkballapura.

Of the ₹650-crore commitment, around ₹500 crore will come through promoter contribution and internal approvals, while about ₹150 crore will be funded through debt, Sreedhar said.

At Sakleshpur, Rosetta is adding 30 villas, translating into about 90 rooms, alongside a 20,000 sq ft convention centre. The company has a 120-acre land parcel at the property, of which around 40 acres has been developed.

In Goa, Phase II will add 65 suites and a convention centre. Meanwhile, the scope of the upcoming Kallepura resort has expanded sharply, from an initial 80 rooms to around 138-139 rooms.

CHENNAI
businessline.
SATURDAY - OCTOBER 3 - 2026

QUICKLY.

Gold gains as US jobs data ease rate hike fears



Gold rose over one per cent on Friday after weaker than expected US jobs data for September eased concerns about a Federal Reserve rate hike this month. Spot gold rose 1.1 per cent to $4,223.49 per ounce by 1305 GMT. US gold futures gained 1.2 per cent to $4,254.10. Silver rose two per cent to $62.07. REUTERS

Copper crawls higher on softer dollar

London: Copper prices edged higher supported by a weaker dollar and supply issues, but the gains were modest due to demand worries. Benchmark three-month copper on the London Metal Exchange rose 0.5 per cent to $14,319 a tonne. Aluminium dipped 0.1 per cent to $3,121.50. REUTERS

Palm oil hits lowest closing in 12 weeks



Jakarta: Malaysian palm oil futures booked a second straight weekly decline, with prices falling for a sixth straight session to their lowest closing in 12 weeks, on weak export data and expectations of high inventory. The benchmark palm oil contract for December delivery on the BMD fell 21 ringgit to 4,533 ringgit a tonne. The contract fell 2.98 per cent for the week. REUTERS

African nations begin to stock up rice on El Nino fears, Ukraine and Iran wars

ROBUST DEMAND. Ships are waiting to load consignments in almost all Indian ports, say exporters

Subramani Ra Mancombu
Chennai

African countries are building rice inventories to guard against potential supply disruptions from a severe El Niño and geopolitical tensions, boosting purchases from India. The increased demand has lifted global rice prices, with Indian rice prices rising 20 per cent in recent months.

"African nations are buying more to create a buffer. I have never seen a situation like now, when 20 vessels have anchored at one time in Kakinada that can ship six lakh tonnes," said New Delhi-based exporter Rajesh Paharia Jain.

"Ships are waiting to lift rice in almost all ports. There are two reasons. One is El Nino. The other is the Ukraine and Iran wars. Fears of food security have gripped the world. Some countries are buying double the quantity they usually purchase," said Suraj Agarwal, Vice-President (West Bengal), Indian Rice Exporters Federation.

VIETNAM IN A FIX

However, Mukesh Jain, President, The Rice Exporters Association, Chhattisgarh, said some of the exporters were fulfilling earlier contracts as there had been a delay in shipments due to the Iran war. But there could be a temporary setback as Vietnam is facing problems in exporting to the Philippines.

Madan Prakash, President of the Tamil Nadu Agri Commodities Exporters Association, said, "Manila has stopped imports and Hanoi has been affected badly. In turn, they have now left Indian ships that have reached Vietnam stranded mid-sea. Prices of Vietnamese rice have dropped. It could happen to rice from other countries too."

"When we started exports in May, prices were $335 a tonne f.o.b (free on-board) for 5 per cent broken parboiled rice. Today, no one is offering below $390," said Paharia Jain.

"The problem with rice exports is more due to the high freight rates. Freight charges per container have increased from $100 to $5,000 for consignments to Jebel Ali from Mumbai," said Agarwal.

Ships are now anchoring at Khor Fakkan port, which is small. As a result, there is a huge build-up of waiting vessels. A shipment which took 5 days to a week to Jebel Ali now takes a month, he said.

"Indian rice prices have increased because freight rates have soared. We expect demand due to El Nino to emerge only later," said Mukesh Jain.

MONSOON & STORAGE

Agarwal said the supply chain had been disturbed by the South-West monsoon, which led to delayed rain in some areas, deficient rainfall in some, excess precipitation in some and unseasonal showers in other areas. "It affected production of rice in some parts," he said.

Paharia Jain said production could be lower by at least 10 per cent compared with last year. "Production of premium non-basmati could be badly affected," he said.

"Storage in some reservoirs is worrisome in a few States. For example, Karnataka has said it will not release water for rabi crops and is saving it for drinking purposes," said Agarwal.

As a result, prices of Sona Masuri have increased to ₹58-59 a kg from ₹45-46, while Swarna Masuri costs ₹36 against ₹31-32 a few months ago, he said.

Mukesh Jain said exporters were paying ₹2,450 a quintal for IR64 rice, higher than the minimum support price of ₹2,441 for common rice.

HUGE STOCKS WITH FCI

Agarwal said India need not worry in case of weather affecting rabi production as stocks are at a 5-year high. Data from the Food Corporation of India show that as of mid-September, India had 39.1 million tonnes of rice and 30.75 mt of paddy, which could yield 20.6 mt of rice.

Surging cereal

(in $/tonne)

Countries	5% broken white		25% broken white		Parboiled	
	Jul-29	Oct-01	Jul-29	Oct-01	Jul-29	Oct-01
India	364	383	350	373	364	382
Pakistan	412	422	389	399	398	435
Thailand	462	474	447	455	471	489
Vietnam	428	422	392	403	-	-

Source: Thai Rice Exporters Association

Coffee shipments up 25% in H1FY27 on strong demand

Vishwanath Kulkarni
Bengaluru



Italy continued to be the largest buyer of Indian coffees, followed by Germany, the Russian Federation and the UAE

Sustaining the robust growth momentum, Indian coffee exports rose 25 per cent in volume during the first six months of the current financial year to over 2.42 lakh tonnes (lt).

However, the value realisation in dollar terms grew at a slower pace of around 10 per cent due to the volatile trend witnessed in global prices during the period.

Based on the permits issued by the Coffee Board, overall exports were 2.42 lt during April-September 2026 against 1.93 lt in the same period a year ago.

In dollar terms, exports grew by 10 per cent at $1.17 billion, up from the corresponding last year's $1.06 billion, per the Board's data.

In rupee terms, coffee exports were up 21 per cent at ₹11,118 crore over ₹9,164 crore a year ago.

Volatility in global prices led to the decline in per unit realisation during H1 of FY27 at ₹4.59 lakh per tonne over ₹4.72 lakh.

ARABICA EXPORTS UP

In the calendar year 2026 till date (January 1 to September 30), coffee exports were up 24 per cent at 3.67 lt against 2.96 lt a year ago.

In value terms, exports were up 11 per cent at $1.79 billion from $1.61 billion a year ago.

Category-wise, arabica parchment exports were 43,987 tonnes year-to-date — an increase of 33 per cent over 33,038 tonnes a year ago. Arabica cherry exports were 11,087 tonnes for the period, an increase of 16 per cent over 9,503 tonnes a year ago.

Robusta parchment shipments during the period stood flat at 21,469 tonnes (21,404 tonnes). Robusta cherry shipments were up 28 per cent at 1.55 lt. Instant coffee shipments grew 25.5 per cent at 1.34 lt (1.11 lt).

Italy continued to be the largest buyer of Indian coffees, followed by Germany, the Russian Federation and the United Arab Emirates.

CCL Products India Ltd was the largest exporter, followed by Louis Dreyfus Company India Ltd and NKG India Coffee Pvt Ltd.

For the coffee crop year 2025-26 ending September, exports stood at 4.52 lt — up 24.5 per cent over previous year's 3.63 lt. In value terms, exports were up 14 per cent at $2.23 billion over the previous year's $1.95 billion.

India produced 3.73 lt of coffee during the crop year 2025-26 ending September, comprising 1.11 lt of arabicas and 2.62 lt of robustas.

For the current crop year 2026-27, which starts in October, the Board, in its initial or blossom estimates, projected a crop of 4.04 lt, comprising 1.20 lt of arabicas and 2.84 lt of robustas.

CMFRI project boosts black clam output in Vembanad

Our Bureau
Kochi

A black clam regeneration initiative by the ICAR-Central Marine Fisheries Research Institute (ICAR-CMFRI) has yielded encouraging results in Vembanad Lake, with production reaching seven to eight times the quantity of the stocked seed.

The success of the stock enhancement project was marked by a harvest festival following a 12-month culture period after five tonnes of clam seed were relaid in a one-hectare area at Vadakkumkara in Alappuzha district.

The black clam (*Villorita cyprinoides*), one of Vembanad Lake's most important fishery resources, accounts for more than 80 per cent of India's total clam resources.

DECLINING RESOURCES

It directly supports the livelihoods of more than 6,000 families, while nearly twice as many depend on allied activities linked to clam fishery. The initiative assumes significance amid a sustained decline in Vembanad's clam resources due to intensive exploitation and changing environmental conditions.

According to CMFRI estimates, the black clam catch in the region fell from a peak of 75,592 tonnes in 2006 to 45,601 tonnes in 2024, a decline of nearly 40 per cent.

Under the project, five tonnes of black clam seed were stocked in a one-hectare area in September last year. At harvest, the clams showed good growth and a survival rate of around 80-90 per cent.

The harvested stock was equivalent to seven to eight times the quantity of seed initially stocked.

Production from the one-hectare area is expected to reach around 40 tonnes, highlighting the potential of planned clam stock enhancement to replenish the resource base.

SUPPORTING FISHING COMMUNITIES

The project was implemented with 100 per cent subsidy for Scheduled Caste communities under the Union government's Scheduled Caste Sub Plan (SCSP), with technical guidance from CMFRI and in collaboration with the Thaikkattussery Black Clam Co-operative Society.

CMFRI Director Grinson George said the initiative demonstrated how scientific regeneration could help replenish declining clam resources while providing sustained livelihood support to fishing communities.

"The successful outcome highlights the potential of scientific intervention to combine resource regeneration, ecosystem recovery and sustained livelihood support for local communities," said CMFRI Senior Scientist Vidya R, who co-ordinated the project.

CAI sees FTA-led boost in demand for Indian cotton, textiles

Our Bureau
Bengaluru



Vinay N Kotak, Chairman, Cotton Association of India

The Cotton Association of India (CAI), the trade body for cotton, sees new opportunities from free trade agreements (FTAs), which it expects to generate additional demand for Indian textiles and cotton products.

Addressing the 104th Annual General Meeting of the association, CAI President Vinay N Kotak said the current cotton season had been positive, by and large, for stakeholders across the value chain, from farmers and ginners to traders and spinners.

He expressed optimism about the future of Indian cotton, particularly in view of market opportunities from the government's FTAs. India remains an important player in the global cotton economy, being the world's second-largest cotton producer and consumer and accounting for around 20 per cent of global fibre production.

DEVELOPING ROADMAP

Kotak said improving cotton productivity and quality, reducing contamination and strengthening traceability, sustainability, price discovery and risk management would be critical to enhancing the competitiveness of Indian cotton, according to a CAI statement.

During the year, CAI strengthened its engagement with the government and other stakeholders through its newly developed CAI Roadmap, which provides a structured framework for policy advocacy.

The trade body pursued issues including the minimum support price (MSP), removal of the reverse charge mechanism on cotton purchases from farmers, and other matters affecting the value chain.

The CAI also advocated examining a Bhavantar-type mechanism as an alternative or complement to the existing MSP framework, aimed at providing effective price support to farmers while allowing market forces to operate more efficiently.

COTTON INDEX

Work is progressing on the proposed India Cotton Index, envisaged as a credible and representative benchmark to would improve transparency and support informed commercial decision-making, the statement quoted Kotak as saying.

Godavari Biorefineries gets Chinese patent for antiviral compounds

Our Bureau
Mangaluru

Godavari Biorefineries Ltd has secured a patent from the China National Intellectual Property Administration for its invention, titled 'Use of compounds for treating viral infections'.

A media statement said that antiviral drug development includes approaches that target host-cell mechanisms involved in viral infection, alongside those that act directly on viruses.

The patent covers compounds that inhibit vacuolar ATPase (V-ATPase), a cellular mechanism some viruses use during infection, and their use in medicaments for treating viral infections.

This grant follows a similar patent secured earlier in Japan for the same invention, marking an important additional jurisdiction in which the company has protected this antiviral compound class, it said.

STRENGTHENING IP

Quoting Samir Somaiya, Chairman and Managing Director of Godavari Biorefineries Ltd, the statement said: "This patent marks another step forward in our research into V-ATPase and its potential applications in addressing viral infections. Our focus is on exploring how these compounds can contribute to the development of solutions that address important challenges in human health."

"Securing patent protection in China strengthens our intellectual property and supports our continued efforts to develop original molecules through science-led research," he said.

Sangeeta Srivastava, Sandip Gavade, Maithili Athavale, and Prashant Kharkhar are the four inventors named on the patent.

South lags

Storage in India's 178 major reservoirs improved this week to nearly 72 per cent of capacity, with levels in three of the five regions topping 80 per cent.

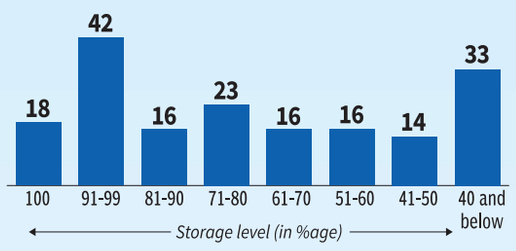
However, storage in the southern region remained below 50 per cent despite heavy rain in Andhra Pradesh, while the northern region saw storage decline to 60.5 per cent.

Four more reservoirs were filled to capacity this week, taking the total to 18. However, 51 dams were less than half full. Tamil Nadu's Aliyar dam remained empty.

As of October 1, storage was 20 percentage points lower than a year ago and 12 percentage points below the 10-year average. This comes as the south-west monsoon has been 13 per cent below normal so far this year, according to the India Meteorological Department (IMD).

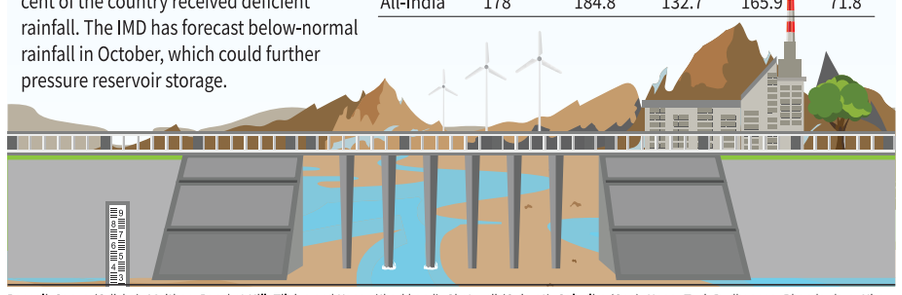
During June-September, about 45 per cent of the country received deficient rainfall. The IMD has forecast below-normal rainfall in October, which could further pressure reservoir storage.

Improving storage



Region-wise storage

Region	Number of reservoirs	Live capacity (in BCM*)	Storage (in BCM)	Storage last year (in BCM)	%age level to capacity
Northern	11	19.8	12.0	18.0	60.5
Eastern	31	21.9	18.1	17.3	82.7
Western	58	38.6	32.4	37.5	84.0
Central	28	48.6	42.8	45.0	88.0
Southern	50	55.9	27.5	49.1	49.2
All-India	178	184.8	132.7	165.9	71.8



Rengali, Sapua (Odisha), Maithon, Panchet Hill, Tilaiya and Konar (Jharkhand), Shetrunji (Gujarat), Salaulim (Goa), Upper Tapi, Dudhganga, Bhandardara, Nira Deoghar, Darna Dam, Koyana (Maharashtra), Bansagar, Bargi, Rajghat (Madhya Pradesh) and Sirsi (Uttar Pradesh) are full. Aliyar Dam in Tamil Nadu is empty.
*Billion cubic metres Source: Central Water Commission

Agri input firm Aries Agro expands manufacturing capacity to 1.01 lt

Our Bureau
Mangaluru

Aries Agro Ltd, a company operating in the plant nutrition and agricultural inputs sector, has expanded its annual manufacturing capacity to 1,01,400 tonnes with the addition of a 6,000-tonne facility at Sayakha, Gujarat.

The company highlighted its manufacturing expansion, growing distribution network, technology adoption and farmer-centric initiatives at its annual general meeting on Wednesday.

Aries Agro expanded its depot network to 30 locations and strengthened its automated facilities in Vijayawada and Nashik.

The company reported a 17.87% jump in gross revenue to ₹917.64 crore in 2025-26

The company introduced products including Aries Trillion, Aries Silica and Agromin Max HD to meet changing farmer needs.

It also expanded its agricultural equipment portfolio with products such as Aries Suraksha and Aries Trap X, and advanced the technology used in Aries Soil Wrap.

FOCUS AREAS

The company has implemented initiatives including the Aries Everywhere App, GS1 QR-based Track and Trace, AIMS, and digital soil testing and recommendation systems to make agricultural inputs and recommendations more accessible, transparent and technology-driven.

Aries Agro reported a 17.87 per cent increase in gross revenue to ₹917.64 crore in 2025-26, compared with ₹778.55 crore in the previous financial year.

Its subsidiaries also reported strong growth, with Mirabelle Agro Manufacturing growing 48.98 per cent and Aries Agro Equipment recording 91.81 per cent growth.

The company said its focus would be on automation, backward integration, climate-resilient agricultural solutions, plant protection and agri equipment.

CIFT bets big on technology to transform fisheries value chain

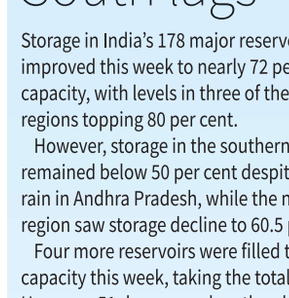
bl.interview

V Sajeev Kumar
Kochi

The ICAR-Central Institute of Fisheries Technology (CIFT) is stepping up its focus on technological interventions across the fisheries value chain to address challenges such as climate change, post-harvest losses, quality and food-safety concerns and resource sustainability.

George Ninan, Director, CIFT, maintains that digital technologies such as AI, IoT, rapid quality-assessment tools and traceability systems have significant potential to transform the fisheries sector. These technologies can enable responsible and energy-efficient fishing, reduce by-catch, improve fish handling and cold-chain systems, strengthen preservation and packaging and enhance value addition from fish and processing byproducts.

> Digital technologies have significant potential to transform the fisheries sector
> **GEORGE NINAN**
> Director, CIFT



Edited excerpts:

What technologies are CIFT developing to improve the safety of fishers at sea, particularly for small-scale fishermen who may have not access to sophisticated safety equipment?

CIFT gives importance to the stability and safety of fishing vessels while designing boats and providing consultancy for boat construction. Designs follow relevant MMD, IRS and DG Shipping requirements, with provisions like bilge pumps, emergency lighting and fire-safety arrangements. It also promotes the use of GPS, AIS and distress-alert systems for communication and vessel tracking. Many existing deep-sea fishing vessels do not have approved designs or stability booklets. CIFT has developed designs for deep-sea fishing vessels under the Blue Revolution and PMMSY schemes to meet safety requirements, and these are suitable for deep-sea fishing operations.

How is CIFT helping the industry move beyond traditional fish marketing by developing innovative, consumer-friendly and commercially viable seafood products?

Our technologies cover ready-to-cook and ready-to-eat products, thermal processing, drying, smoking, freezing, packaging and shelf-life enhancement, as well as value-added products.

Through technology transfer, incubation, training and pilot-scale facilities, CIFT helps entrepreneurs and seafood industries in adopting these technologies and developing market-ready products.

How can post-harvest losses in fisheries be reduced, particularly for small-scale fishers?

Reducing post-harvest losses requires affordable, locally suited solutions combining better handling, cold-chain infrastructure, value addition, stronger market linkages and capacity building.

For small-scale fishers, access can be improved through targeted credit, co-operatives, public-private partnerships and government support for shared infrastructure and appropriate technologies.

QUICKLY.

2 limestone blocks auctioned in J&K

New Delhi: The Centre on Friday said two mineral blocks in the Union Territory of Jammu and Kashmir have been successfully auctioned, marking the beginning of organised mineral development in the region. The J&K government had entrusted the auction of the limestone blocks to the Mines Ministry. The move is likely to catalyse new investment and economic activity in the Union Territory. PTI

Retail space leasing in malls falls 38% in Jul-Sep

New Delhi: Leasing of retail space in shopping malls fell 38 per cent to 0.71 million square feet in July-September across eight major cities due to supply constraints, according to Cushman & Wakefield. Data showed that gross leasing of retail space in high-street locations rose 33 per cent to 1.51 million sq ft in the third quarter of the 2026 calendar year. PTI

Anti-CEC protests erupt across country over SIR

VOTER OUTCRY. The protests centered on allegations that the SIR had resulted in the deletion of around 13 crore names from electoral rolls

Our Bureau
New Delhi

Protests against Chief Election Commissioner Gyanesh Kumar and the exclusion of over 13 crore voters from the electoral rolls during the Special Intensive Revision (SIR) erupted across the country on Gandhi Jayanti, with Cockroach Janata Party (CJP) activists gathering in Mumbai and the Delhi Police detaining more than 700 protesters near Jantar Mantar.

Central Delhi was turned into a fortress, with thousands of Delhi Police and paramilitary personnel deployed and entry routes to the main protest site blocked at several points.

In Mumbai, despite the police denying permission, thousands of CJP supporters collected at Shivaji Park, demanding Kumar's resignation. Protesters carrying the tricolour raised slogans such as "Gyanesh BRO, JUST RESIGN" and "*Vote Chor Gaddi Chhod*".

The Students' Federation of India (SFI) and the All India Students' Federation (AISF) activists joined the protest, while actors Shabana Azmi and Naseeruddin Shah, singer Vishal Dadlani and Mahatma Gandhi's great-grandson Tushar Gandhi were also present. Shiv Sena (UBT) and MNS backed the agitation.

CJP leader Abhijeet Dipke challenged Maharashtra Chief Minister Devendra Fadnavis to arrest the protesters.

PROHIBITORY ORDERS

In Delhi, Opposition leaders and activists, including RJD's Manoj Jha, CPI(M)'s Brinda Karat, CPI's P Sandosh Kumar, AAP leaders and activists Yogendra Yadav and Nikhil Dey, were among those detained after police invoked prohibitory orders and said permission had not been granted for the gathering. Police said around 700 people were detained from Jantar Mantar and the surrounding areas, including SFI, AISA and National Students' Union of India (NSUI) activists.



WHEN VOICES RISE. Security personnel detaining activists during a protest in New Delhi on Friday, demanding the resignation of CEC Gyanesh Kumar over alleged irregularities in the Special Intensive Revision of electoral rolls SUSHIL KUMAR VERMA

The protests centred on allegations that the SIR had resulted in the deletion of around 13 crore names from electoral rolls. The Election Commission has defended the exercise, saying decisions on the SIR were taken unanimously by the three-member Commission. The CJP is demanding greater transparency in the appointment of Election Commissioners and that the 2025 electoral rolls be frozen to prevent further changes.

The issue also spilled into Rajasthan, where the AAP staged a protest at the Shaheed Smarak, demanding an independent examination of the electoral rolls and Kumar's resignation. AAP leaders alleged that questions had arisen over the electoral process in several States and demanded answers from the Election Commission.

A scuffle broke out between protesters and the police, after which a delegation submitted a memorandum to the Governor seeking transparency in the SIR and protection of eligible voters' rights.

In Jammu and Kashmir, Congress workers protesting outside the party headquarters in Srinagar were stopped by the police from marching onto the main road. They raised slogans against the CEC and the Centre and demanded action over the SIR.

FARMERS SUPPORT

The Samyukta Kisan Morcha said it will hold village-level mahapanchayats from October 3 to 23, where the SIR will be discussed alongside its traditional demands on MSP, farm debt and land rights. SKM leader P Krishnaprasad said the fight over electoral rights could not remain confined to political parties and activists and would have to be taken to villages and factory sites. The organisation proposed a resolution seeking the removal and prosecution of Kumar over alleged irregularities.

The protests come amid a widening political dispute over the electoral revision, with Opposition parties and civil society groups alleging mass disenfranchisement, while the Election Commission maintains that the exercise and its decisions had been carried out collectively and in accordance with the electoral process.

Development works worth ₹52,000 crore in progress in Hyderabad: Telangana Deputy CM

Our Bureau
Hyderabad

Infrastructure development works worth ₹52,000 crore are in progress in Hyderabad, Deputy Chief Minister Mallu Bhatti Vikramarka said.

Speaking at the launch of the TSRTC–Metro Rail Common Pass here on Friday, he said major works were being taken up in roads, flyovers, bridges, underpasses, drinking water and other sectors as the government was moving forward with a comprehensive plan to develop Hyderabad further, keeping



Telangana Deputy CM Mallu Bhatti Vikramarka

future requirements in mind.

The State capital was expanding rapidly and it was the responsibility of the government to strengthen civic infrastructure and facilities well in advance to meet the needs of the growing population, he added.

HYDERABAD METRO

The Metro Rail network in Hyderabad would be expanded by 122 km to improve public transportation. The government proposed to take up Phase-II of the Metro project at an estimated cost of around ₹38,000 crore, providing connectivity to the Old City, airport, Patancheru and Hayathnagar areas.

Electric buses were being introduced in Hyderabad in place of diesel RTC buses to reduce air pollution. In this direction, 550 electric buses had been already introduced, while 2,200 more buses would be pressed into service soon. About ₹200 crore had been sanctioned for retrofitting to enable auto-rickshaw drivers to convert their diesel autos into electric vehicles, he added. The launch of the TSRTC–Metro Common Pass was a welcome initiative aimed at reducing the difficulties faced by commuters in the city, the Deputy Chief Minister said.

The facility allows commuters to use the same pass across both transport systems, ranging from one-day use to a one-month pass.

New high: Vande Bharat train zooms across the world's highest railway arch bridge at 100 kmph

Gulzar Bhat
Srinagar

A Vande Bharat Express on Friday crossed the world's highest railway arch bridge over Chenab river and India's first cable-stayed railway bridge at 100 kmph, as the maximum permissible speed on the 111 km Shri Mata Vaishno Devi Katra-Banihal railway section was raised from 75 kmph.

The increased speed was successfully tested on Friday, with Vande Bharat Express Train No 26401/26404 crossing the Chenab and Anji bridges at 100 kmph, according to the Railways.



The Anji bridge is India's first cable-stayed railway bridge. The increased speed was successfully tested on Friday DEVINDER THAKUR

Railway Minister Ashwini Vaishnaw shared the development on X, describing it as a milestone and posting, "100 km/h over India's engineering pride!" The speed enhancement is expected to make train operations on the Udhampur-Srinagar-Baramulla Rail Link (USBRL) smoother, reduce travel time and provide passengers with faster and more comfortable journeys, the Railways said.

The Katra-Banihal section is a crucial part of the USBRL, which provides rail connectivity to the Kashmir Valley.

The route passes through challenging Himalayan terrain and includes several major engineering structures. The Chenab railway bridge in Reasi district rises about 359 m above the riverbed and is the world's highest railway arch bridge.

The Anji bridge is India's first cable-stayed railway bridge.

Keralam CM calls for comprehensive transformation across key sectors

Our Bureau
Kochi

Keeping pace with the changing needs of the modern era, Keralam Chief Minister VD Satheesan has stressed the need for a comprehensive transformation of the State across key sectors, including education, healthcare, tourism, sports, public welfare and elder care.

The State already possesses infrastructure and social amenities comparable to those in western countries, Satheesan said, emphasising the need to utilise these resources efficiently.

He also stressed the importance of transforming Keralam's geographical and demographic challenges into opportunities for growth, while creating greater opportunities for the youth and ensuring the welfare of senior citizens. He was delivering the 18th KP Hormis Memorial Lecture, hosted by Federal Bank, on the topic "Reimagining Kerala".



Keralam Chief Minister VD Satheesan

REDEFINING GROWTH

According to Satheesan, the State should move beyond its traditionally recognised development achievements and create a distinctive model of development capable of redefining growth across sectors.

As part of this vision, he announced plans to organise 'Festival Kerala', in different parts of the country and at international locations. The initiative will showcase Keralam's heritage, art, culture and traditions, while also providing a platform to highlight the State's entrepreneurs, investment opportunities, tourism potential and talent to audiences in India and across the world.

Festival Kerala will serve as a platform for investment promotion, tourism, entrepreneurship and presenting the State's capabilities to a wider global audience, he added. Satheesan also appreciated Federal Bank's contribution to the development of Keralam and called for its continued participation in efforts to reimagine the State and drive its transformation across sectors.

Elias George, Chairman, Federal Bank, welcomed the gathering, while KVS Manian, MD & CEO, proposed the vote of thanks.

Kiska BaaS is the best? Tata Motors, Mahindra, MG and Maruti EV offers put to the test

Amit Vijay Mohile
Mumbai

Battery-as-a-Service (BaaS), which accounts for just 4-6 per cent of India's electric-car sales, is emerging as the new battleground in the EV market after Tata Motors expanded the model across its portfolio. The move intensifies competition among OEMs by significantly lowering advertised vehicle prices through separate battery financing.

Under BaaS, EVs traditionally priced around ₹19 lakh can now be marketed at ₹11-14 lakh. Tata's Sierra.ev, for instance, is available at ₹11.99 lakh under BaaS compared with ₹18.79 lakh with the battery included.

Mahindra's BE 6 Sporteq is priced at ₹11.45 lakh versus ₹19.45 lakh and MG's Hector Tomahawk EV is being offered at ₹13.99 lakh against ₹19.5 lakh.



ALL CHARGED UP. The key caveat is that the battery is not free. Buyers must still account for battery EMIs. Charging and on-road costs remain additional expenses REUTERS

At JSW MG Motor India, which introduced BaaS with the Windsor EV, the financing model is estimated to contribute 12-15 per cent of EV sales. Tata has now expanded BaaS across six EVs, creating an advertised price band ranging from ₹4.69 lakh to ₹14.49 lakh.

A closer look at battery-financing rates changes the picture. Mahindra quotes an effective battery-financing cost of ₹3.75 per km for the 59-kWh BE 6 Sporteq. This compares with ₹5.5 for Tata's 63-kWh Sierra.ev and ₹4.9 for MG's 69.2-kWh Tomahawk.

On advertised metrics, Mahindra offers both the lowest entry price and the cheapest quoted battery-financing rate among the three contenders. However, comparisons are not entirely like-for-like because battery capacities, specifications and financing structures differ.

Competition is equally intense in the mid-market segment. Maruti Suzuki's eVitara, Tata's Curvv.ev and Hyundai's Creta Electric can all be presented at an identical advertised vehicle price of ₹10.99 lakh under BaaS. Yet financing costs vary. Hyundai quotes ₹3.9 per km, Maruti Suzuki ₹3.99 and Tata ₹5.

PRICE LADDER

The battle extends further down the market. Kia's Syros EV starts at ₹7.99 lakh under BaaS, Tata's Nexon.ev at ₹8.99 lakh and MG's Windsor at ₹9.99 lakh. At the entry level, Tata's Tiago.ev is priced at ₹4.69 lakh, MG's Comet EV at ₹4.99 lakh, Tata's Punch.ev at ₹6.59 lakh and Citroen's e-C3X Extended at ₹6.99 lakh.

Tata's expansion has effectively created a parallel EV price ladder by moving one of the vehicle's costliest components out of the upfront purchase price and into a separate financing obligation.

"As BaaS becomes an increasingly visible construct in the EV market, we want to ensure that customers evaluating a TATA.ev have flexibility to make a fair and transparent comparison," said Vivek Srivatsa, Chief Commercial Officer, Tata Motors Passenger Vehicles.

The key caveat is that the battery is not free. Buyers must still account for battery EMIs, which vary by battery size, down payment and tenure. Charging and on-road costs remain additional expenses. For now, Mahindra leads on advertised affordability in the ₹19 lakh segment, Tata has the broadest BaaS lineup, and Maruti has turned the ₹10.99 lakh bracket into a fiercely contested category.

For consumers, the sticker price may be attractive, but the real cost calculation starts after one leaves the showroom.

Ladakh experiments with saffron cultivation in high-altitude cold desert

Gulzar Bhat
Srinagar

The Himalayan cold desert of Ladakh is experimenting with saffron cultivation on a large scale, with the Union Territory administration planting Iranian saffron corms on land that was barren until recently in a bid to diversify agriculture and create new livelihood opportunities.

Lt Governor Vinai Kumar Saxena said on Friday said that 800 kg, or around 90,000 premium Iranian saffron corms, had been planted over 4,000 sq m at Spituk Pharka in Leh.

The saffron cultivation is being carried out on land rejuvenated under Project Him Sarovar, an initiative



REVIVED FIELDS. Saffron cultivation being carried out on land rejuvenated under Project Him Sarovar

aimed at improving water security and restoring degraded land in the high-altitude region.

"I am pleased to announce an ambitious experiment of introducing saffron cultivation to Ladakh, for the very first time, on a large scale," Saxena said in a post on X.

NEW OPPORTUNITIES

He said the project could create livelihood opportunities for farmers, youth and self-help groups while contributing to agricultural diversification.

In March 2025, the Ladakh administration said the Council of Scientific and Industrial Research-Indian Institute of Integrative Medicine (CSIR-IIIM) had been conducting saffron cultivation trials in the region.

The administration also planned to work with CSIR-IIIM to assess the economic viability of saffron cultivation and identify varieties suited to local conditions.

The Agriculture Department, in collaboration with the CSIR-IIIM, distributed saffron corms to progressive farmers in Kargil and conducted training on scientific cultivation and post-harvest handling.

Govt preparing affordable housing policy, expected in next six months: Credai

Our Bureau
Kolkata

The Central government is preparing a new affordable housing policy, which is likely to be in place in six months, according to Credai, the apex body of real estate developers.

Reiterating the importance of revising the definition of affordable housing, The realtors' body urged the government to remove the ₹45 lakh price cap per unit and retain only the prescribed size criteria in the new policy.

"We are in touch with the government Housing Department, Finance Department, and NITI Aayog. The government is preparing the new affordable housing policy," Credai President Shekhar Patel told mediapersons here.



Shekhar Patel, President, Credai

Credai urged the government to remove the ₹45 lakh price cap per unit and retain the prescribed size criteria

"We want that the cap of ₹45 lakh should be removed. There should be only an area limit of 60 sq m for metros and 90 sq m for non-metros to be called affordable homes," he said.

Organised real estate developers are not able to supply enough affordable units for the market.

"We have constraints on land, taxes, and approvals. We are working with the State governments and the Central government to resolve these constraints for the betterment of our citizens," the Credai President said.

He said that the share of affordable homes in the overall sales of residential properties has dropped.

On the new affordable housing policy, several government departments are involved in the process. "We are hoping for the policy changes in the next six months," he added.

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QUICKLY.

Govt's attitude may hurt customer ties: Anthropic



New York: Anthropic has warned that government attitudes toward the company and its technology could have broader implications for its business, including its relationships with commercial customers and partners, according to the IPO prospectus seen by *Reuters*. Companies routinely warn that policy changes could affect their business, particularly government contractors. Anthropic's filing warns that advanced AI could pose "catastrophic or existential risks to humanity", an extraordinary warning by a company planning an IPO that could be valued at $2 trillion. Revenue from government agency contracts accounts for less than 1 per cent of its annual revenue. REUTERS

Forex reserves drop $18.34 b to $747.56 b: RBI



Mumbai: India's forex reserves dropped $18.343 billion to $747.557 billion during the week ended September 25, the Reserve Bank said on Friday. In the previous reporting week, the kitty had declined $14.881 billion to $765.901 billion. The reserves had touched an all-time high of $785.706 billion for the week ended September 4 on the back of a heavy flow of currency as part of a special concessional swap for deposits from the diaspora. For the week ended September 25, foreign currency assets decreased by $15.57 billion to $615.411 billion, show data. PTI

India's defence start-ups look at avenues beyond drones

NEW PHASE. Opportunities open up in marine navigation and maritime surveillance

Aishwarya Kumar
Jyoti Banthia
Bengaluru



SCALING UP. As underwater domain awareness continues to remain largely unmet, programmes such as iDEX and Sprint have created an environment for prototypes, trials and user validation

India's defence-tech ecosystem is entering a new phase underwater, with the Indian Navy increasingly turning to start-ups for technologies spanning autonomous vessels, underwater surveillance and mine-countermeasure systems as maritime security gains strategic importance.

After years of government-backed programmes focused on prototypes and trials, start-ups are now beginning to see actual procurement orders, signalling a shift in the Navy's engagement with the private sector. The move is also opening opportunities in adjacent areas such as marine navigation, sensing and surveillance for State governments and civilian maritime communities.

As underwater domain awareness continues to remain largely unmet, programmes such as iDEX and Sprint created a strong environment for prototypes, trials and user validation. The next challenge is converting these deployments into larger operational orders.

TEST-BED

Johns T Mathai, Founder & CEO, EyeROV, said, "We are seeing the Indian Navy move from being primarily a test-bed for defence startups to becoming a meaningful procurement customer."

Industry experts noted that larger opportunities are emerging from spaces such as mine-countermeasures, surveillance, anti-submarine warfare, and persistent maritime monitoring.

EyeROV's Trout, for instance, started as an indigenous development programme under the iDEX DISC 7 Sprint challenge. After development, trials and qualification, the Indian Navy placed a ₹47-crore order for five systems, with deliveries already underway, Mathai said.

UNDERWATER TECH

Similarly, Priyanka Singhal, Founder and CEO of Ammunic Systems, said start-ups are expanding beyond traditional land and aerial defence systems into underwater technologies. The company also has developed electronic underwater fuzes, of 900-gram weight, which has the depth-sensing capability and a self-destruct mechanism.

She said, "We have filed for India's first advanced electronic fusing system for naval underwater. The company is also in the process of developing other products including limpid mines. Naval is very untouched as of now, but it's going to be the next future after the loiter munitions."

The opportunity is also extending to the broader marine technology stack, including navigation and sensing systems.

C2C Advanced Systems, which develops vertically integrated defence electronics and mission-critical C4ISR systems, said its MAGI C5ISR platform remains its largest revenue contributor, with deployments across naval, Army and Air Force domains. Its recent developments include expanded deployment with the Indian Navy, continued execution of projects under DRDO and BEL contracts and initial engagement with international naval clients in Southeast Asia.

EXPANSION

The company is also looking to expand its maritime footprint as demand for indigenous systems grows.

For Yaanendriya, the opportunity is further down the maritime technology stack — navigation and sensing.

Vamshi Bharadwaj MV, Co-Founder and CEO, Yaanendriya, said the company has already supplied sensors for remotely operated vehicles, including systems used by the Indian Navy, and is now pitching its GINS navigation system to the Navy. The objective, he said, is to indigenise a capability that was earlier imported.

But Yaanendriya sees a potential market beyond defence. Bharadwaj said the system could help fishermen identify maritime boundaries and avoid inadvertently crossing into neighbouring countries, particularly in coastal States such as Tamil Nadu, Andhra Pradesh and Odisha.

The company is approaching State governments, DRDO and marine associations and sees the requirement as a potential strategic order book. Yaanendriya is currently at the prototype-validation stage for GINS, he said.

Bhaskar Majumdar, Founder and Managing Partner, Unicorn India Ventures, noted that technologically, maritime autonomy is quite different from aerial drones.

"Procurement clearance, initial order and repeated orders are what really separates a procurement narrative from a scalable business," he added.

The emerging naval opportunity is part of a broader transition in India's defence-startup ecosystem. As of February 2026, 676 start-ups, MSMEs and individual innovators had been engaged under iDEX, with 58 prototypes receiving procurement clearance worth about ₹3,853 crore and 45 procurement contracts worth about ₹2,326 crore.

SYSTEMS AT SCALE

For start-ups, the focus is increasingly shifting from proving that a technology works to building systems that can be manufactured, integrated and deployed at scale.

Mathai said EyeROV's systems have 69 per cent indigenous content, with the company developing its core IP, system architecture, manufacturing, software, navigation and robotic integration in India, even as some specialised components continue to depend on a developing domestic supply chain.

India's defence start-up ecosystem has matured across land, drones and aerial systems. The underwater domain remains comparatively less explored.

With the Navy articulating specific requirements and start-ups beginning to secure procurement orders, the opportunity is moving from what can be built to what can be deployed at scale.

Maharashtra FDA cancels drug sale licence of Cipla's Pune facility

Press Trust of India
Mumbai

The Maharashtra Food and Drug Administration (FDA) on Friday said it has cancelled the drug sale and distribution licences of Cipla Pharma & Life Sciences Ltd's carrying and forwarding (C&F) warehouse at Wadki in Pune following detection of alleged violations.

The action was taken after completion of fresh proceedings in compliance with the directions of the Bombay High Court, the FDA said in a statement. It follows an earlier FDA action taken against the facility on August 27 this year over alleged irregularities involving the packaging, storage, documentation and recall of Reactin Plus tablets. The FDA had then cited unauthorised claims on the packaging of the Schedule H prescription drug and several deficiencies at the warehouse.

HC DIRECTIVES

The latest order was passed on October 1 by the Assistant Commissioner (Drugs), Division 3, FDA Pune, after the department withdrew its earlier proceedings in compliance with the directions of the Bombay High Court, the FDA said.

According to the statement, the department issued a revised show-cause notice to the company on September 4. Cipla submitted its written reply on September 11 and was given a personal hearing on September 21. The licensing authority considered the company's reply, submissions made during the hearing, inspection findings, available records and applicable legal provisions before passing the fresh order.

One of the key issues involved claims related to Reactin Plus medicine. The FDA found the drug's packaging didn't comply with applicable statutory provisions under the Drugs and Cosmetics Act, 1940.



A consensus builder who values continuity

Our Bureau
Mumbai



Anup Bagchi

An affable personality, a strong belief in delegation, high emotional intelligence, and excellent communication skills are traits that could help ICICI Group veteran Anup Bagchi steer the affairs of HDFC Bank, India's largest private sector lender, as its next MD & CEO.

SPOTLIGHT.

Market participants believe Bagchi, currently MD & CEO of ICICI Prudential Life Insurance, is likely to emphasise his trust in HDFC Bank's existing leadership team and work with them to take the franchise to even greater heights.

Bagchi understands the importance of continuity, having spent nearly 34 years within the ICICI Group. As a result, he is unlikely to arrive as a transformative outsider seeking to disrupt the established order at HDFC Bank.

UNOBTRUSIVE

People who have worked with him describe his leadership style as unobtrusive. He is known for focusing on the broader strategic picture.

"Bagchi does not believe in sitting in his office and summoning colleagues for discussions. Instead, he prefers informal conversations over a cup of coffee in the cafeteria, discussing important matters without relying on PowerPoint presentations or Excel sheets. He has a sharp memory and maintains strong eye contact during interactions," his former colleagues said.

Bagchi will become only the third chief executive in HDFC Bank's 32-year history. Aditya Puri served the longest tenure for 26 years, while outgoing MD & CEO Sashidhar Jagdishan has held the position for six years.

The bank's board has also approved Bagchi's appointment as an Additional Director with effect from October 2, 2026, subject to shareholders' approval.

I was determined not to let others die: Capt Machchhar recounts flight incident to PM

Press Trust of India
New Delhi

"I was fighting for my life, but I was determined not to let others die," flydubai pilot Smit Machchhar told Prime Minister Narendra Modi on Friday while recounting the terrifying moments after being attacked by his co-pilot mid-air but still managing to save the aircraft. Modi spoke over the phone to the pilot, who is currently undergoing treatment in the UAE.

Machchhar, stabbed and seriously injured by his co-pilot in the cockpit of flydubai flight FZ1073 while travelling from Dubai to Tel Aviv on Wednesday, gave a detailed account of the incident to the Prime Minister during the video call.

Modi lauded the pilot's bravery, presence of mind and composure, and said Machchhar took a split-second decision that saved the lives of so many people.

GET UP AND ACT

Machchhar shared that whenever he faces difficulty, he recites the *Hanuman Chalisa*, a hymn devoted to Lord Hanuman. "I was lying on the floor (of the cockpit) injured. With whatever energy that was left with me, I managed to act properly and saved the plane," he said.

"I was fighting for my life, but I was determined not to let others die. It was such a crucial moment. There was a moment when I realised that if I don't do something - because I was lying on the ground (in cockpit), I could feel that the aircraft was going down," he said.

Machchhar said he was repeatedly beaten and sustained multiple injuries, but he told himself that he had to get up and act.

"When I was lying down below, I knew for a fact that if I could make one last push - the door was right there. Even while I was still taking blows, I could just open the door," he said.

Modi told Machchhar that after this incident, the country can proudly say that Indians are not those who take lives, but those who are willing to risk their lives to save others. "You have enhanced the honour of the country," Modi said.

Pilots questioned

Pilots who fought in the cockpit of a flydubai aircraft during a suspected murder-suicide mission were moved to Abu Dhabi from Saudi Arabia for questioning while authorities investigating the incident seek additional information from the plane's voice and data recorders, according to state-run *Saudi Press Agency*. BLOOMBERG

PUNCHING UP



RARIFIED SPACE. Lovlina Borgohain (in blue) became only the second Indian female boxer after Mary Kom (Incheon, 2014) to win a gold medal in the sport at the Asian Games as she beat China's Bao Ziyi 5-0 in the 75 kg category final in Aichi-Nagoya, Japan, on Friday RV MOORTHY

US judge blocks $1,00,000 H-1B visa fee decision

Reuters

A second federal judge on Wednesday blocked an unprecedented $1,00,000 fee that US President Donald Trump imposed on new H-1B visas for highly skilled foreign workers.

US district judge Haywood Gilliam in Oakland, California, ruled that US Citizenship and Immigration Services and the State Department failed to follow necessary rule-making processes before implementing Trump's fee.

Gilliam granted a request by a coalition of unions, employers and non-profits to block the agencies from implementing Trump's fee, pending the outcome of a lawsuit they filed in October.

ANOTHER CASE

The fee was temporarily blocked in June by a federal judge in Boston, ruling in a separate case brought by 20 States. A Boston-based appeals court in July declined to pause that decision.

The Department of Homeland Security in August moved to adopt a permanent fee of about $1,03,000 that, when finalised, will likely be challenged in court. But that will involve different legal issues than lawsuits over the fee set by Trump.

The $1,00,000 fee was originally set to expire September 21 but Trump, a Republican, recently extended it for another year.

The White House did not immediately respond to a request for comment.

The US Chamber of Commerce has filed a third lawsuit challenging the fee. The chamber is appealing a judge's decision rejecting its claims that Trump had no authority to set the fee.

The H-1B programme offers 65,000 visas annually approved for three to six years.

Stories from South are really travelling, says JioStar executive Krishnan Kutty

bl.interview

Vallari Sanzgiri
Mumbai

In an age known as the 'global village', India's Gen Z has invested its free time towards local narratives and slice-of-life content that reflect its struggles in life.

Krishnan Kutty, Head - Entertainment Business, South Cluster, JioStar, speaks about the growing popularity of southern stories among audiences and advertisers alike.

Edited excerpts:

Do you feel this is a Gen Z-driven popularity and love?

Yes, younger audiences are very material in terms of us entering homes. Their willingness and openness to try new stories is very significant. That has certainly helped within southern markets and across the country. They're introducing the content to their parents.

Would you say Gen Z is the bigger part of the Southern content?

Certainly. The shows really speak their language. A lot of the shows are in 'youth transition' — the world between school, college, first job; of uncertainty in terms of your economic, social, romantic circumstances. We are focused around dealing with those issues and audiences have grabbed on to that.

How has the popularity for southern content evolved over time?

What has really shifted over the years is our confidence in southern stories across content. The most obvious manifestation is in the movies in the last 4-5 years.

Stories from the south are really travelling. Stories from Tamil Nadu and Andhra Pradesh have travelled on our network and been remade across all our seven languages. On digital, we have invested in a long running series format of 100 episodes.

> Stories from Tamil Nadu and Andhra Pradesh have travelled on our network and been remade across all our seven languages.
>
> **KRISHNAN KUTTY**
> Head - Entertainment Business, South Cluster, JioStar



With it, we have disproved the argument that the attention span in digital is less. Tamil is where we initiated this process three or four years ago.

Do regional content consumers have a better attention bandwidth?

The appetite for content is basically increasing. We would typically see a peaks-and-valleys curve with a small peak in the afternoon and a large peak in prime time.

The number of screens and moments are increasing. We currently have six shows running simultaneously. By March, we'll have 13 shows and by next December, 20 shows.

Do you see audiences in metro and tier-2 cities as well?

A large proportion of audience comes out of large towns like Chennai, Hyderabad, Bengaluru, Coimbatore. We are keen over time to penetrate deeper into smaller towns. That's where a large proportion of this consumption is happening.

We are focused on acquiring new viewers. We have increased the number of consumers watching these formats 3.5 times in the last year. In another year, we will increase that 50 per cent further.

Do you feel there is a market for southern content outside India?

I'm convinced there is a market for it. We as organisations have to do a much better job in marketing content to those markets. India is "cursed" by a very large domestic market.

We have this large aspiration of domestic consumers to keep servicing. We've not really focused on transmitting our content globally.

To that end, how are platforms like yours investing in such content?

There are two elements around southern content: Popularity among consumers and popularity in terms of a zeitgeist or media.

On the latter, we've not been successful. Media is more focused around familiar content. We're getting consumer love, and we're getting ad love for now.

How has advertiser sentiment changed towards southern content?

Advertisers are loving it because we are getting premium connected TV audiences, urban centres, in a really significant scale. Around 60-70 per cent of our revenues comes from large advertisers. The difficult ones to get are the local advertisers. We are very proud that 20-25 per cent of our advertisers are local. Local advertisers are far more discerning. They are often driven by what they and their kids are watching. It also acts as a signal to us around the popularity of our content.

How has AI helped?

AI dubbing has helped us crunch timelines for dubbing. Over time, that creative quality has improved.

So, driving localisation across languages has certainly been helped by AI, which we are going to keep buying more into. In terms of other elements, we're still early on the curve.

What's your plan going forward for southern content?

The challenge is: Are you setting your ambitions large enough? The opportunity is enormous to drive penetration in the southern States... take up content across the country.